



BACO
P R O P E R T I E S

| BACO Realty Corporation

EMPLOYEE HANDBOOK

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EMPLOYEE HANDBOOK SIGNATURE FORM

This is to acknowledge that I have read and understand the BACO Realty Corporation Employee Handbook and understand that it sets forth the terms and conditions of my employment as well as the duties, responsibilities, and obligations of employment with the Company. I understand and agree that it is my responsibility to read the Employee Handbook and to abide by the rules, policies, and standards set forth in the Employee Handbook.

I also acknowledge that my employment with the Company is not for a specified period of time and can be terminated at any time for any reason, with or without cause or notice, by me or by the Company. I acknowledge that nothing in this Employee Handbook and any oral statements or representations regarding my employment can alter the foregoing. I also acknowledge that this policy of at-will employment may be revised, deleted, or superseded only by a written employment agreement signed by the Chief Executive Officer, who expressly revises, modifies, deletes, or supersedes the policy of at-will employment.

I further understand that this agreement supersedes all other agreements, understandings, and representations concerning my employment with the Company.

I have read and I agree to the terms set forth in this Employee Handbook as it relates to my employment with the Company, and I agree to be bound by such terms.

Employee Signature

Date

Supervisor Signature

Date

[PERSONNEL FILE]

EMPLOYMENT POLICIES

WELCOME MESSAGE

Welcome to BACO Realty Corporation. As an employee of BACO Realty Corporation, you are an important member of a team effort. We are thrilled that you have decided to join the Company and we look forward to your commitment to provide the highest quality services to our customers and tenants. We hope that you will find your position with the Company rewarding, challenging and productive. This Handbook governs the employment policies and procedures for both storage and corporate employees. All policies and procedures apply to both categories of employees unless otherwise specified herein. If you have any questions regarding whether a particular policy or procedure applies to you and how the same are implemented, please contact the Human Resources Department.

ABOUT THIS HANDBOOK

This employee handbook contains information about the employment policies and practices of BACO Realty Corporation (hereinafter referred to as “BACO Realty”, “BRC” or the “Company”). We expect each employee to read this handbook carefully as it is a valuable reference for understanding your job and this Company. All previously issued handbooks and any inconsistent policy statements – oral or written – are superseded.

Except for the employment-at-will policy, BACO Realty reserves the right to revise, delete or add to any and all policies, procedures, work rules or benefits stated in this handbook. All such revisions, deletions or additions may be made at any time with or without notice, but they must be in writing and must be signed by the President and/or CEO of the Company. No oral statements or representations can change or alter the provisions of this handbook.

Nothing in this employee handbook or in any other personnel document, including benefit plan descriptions, creates, or is intended to create, a contract, promise or representation of continued employment for any employee. No supervisor or manager has any authority to enter into a contract of employment—express or implied— with any employee. Only the President and/or CEO of the Company have the authority to enter into an employment agreement, and then only in writing. Any binding commitments regarding your employment being anything other than at-will must be in writing and signed by the President and/or CEO of the Company.

Not all Company policies and procedures are set forth in this handbook. We have summarized only some of the more important ones. If you have any questions or concerns about this handbook or any other policy or procedure, please ask your supervisor.

EMPLOYMENT AT BACO REALTY IS AT WILL

Employment at BACO Realty is at will. This means that employment may be terminated for any or no reason, with or without cause or notice, at any time by you or BACO Realty. Nothing in this handbook or in any other document or oral statement shall limit the right to terminate employment at will.

This at-will employment policy may be revised, modified, deleted or superseded only by a written employment agreement signed by the President and/or CEO of the Company, which expressly revises, modifies, deletes or supersedes the at-will employment policy. Unless your employment is covered by such a written employment agreement signed by the President and/or CEO, this at-will employment policy is the sole and entire agreement between you and the Company as to the duration of employment and the circumstances under which employment may be terminated.

With the exception of employment at will, all terms and conditions of employment with BACO Realty may be modified at the sole discretion of BACO Realty with or without cause or notice at any time. No implied contract concerning any employment-related decision or term, or condition of employment can be established by any other statement, conduct, policy or practice. Examples of the types of terms and conditions of employment that are within the sole discretion of BACO Realty include, but are not limited to, the following: promotions; demotions; transfers; hiring decisions; compensation; benefits; qualifications; discipline; terminations; layoffs or recalls; rules; hours and schedules; work assignments; job duties and responsibilities; production standards; subcontracting; reduction, cessation, or expansion of operations; sale, relocation, merger, or consolidation of operations; determinations concerning the use of equipment, methods, or facilities; or any other terms and conditions.

EQUAL EMPLOYMENT PRACTICES

EQUAL EMPLOYMENT OPPORTUNITY

The Company is an equal opportunity employer and makes employment decisions on the basis of merit. In accordance with applicable law, the Company prohibits discrimination based on race, color, religion, creed, sex (including pregnancy, sexual orientation, gender identify, gender expression), gender, medical condition (pregnancy, cancer, and genetic characteristics), age, national origin or ancestry, disability, genetic information (including family medical history), veteran status, , citizenship, marital status or civil union status, hairstyle, or any other basis protected by federal, state or local laws.

This policy applies to all terms and conditions of employment, including recruitment, hire, placement, promotion, termination, layoff, recall, transfer, leaves of absence, and training. The Company prohibits all forms of unlawful retaliation against any person who reports harassment or discrimination.

DISABILITIES/REASONABLE ACCOMMODATION REQUESTS

To comply with applicable laws ensuring equal employment opportunities to individuals with disabilities, the Company will make reasonable accommodations for the known physical or mental limitations of an otherwise qualified individual with a disability who is an applicant or an employee unless undue hardship and/or a direct threat to the health and/or safety of the individual or others would result. Any applicant or employee who requires an accommodation in order to perform the essential functions of the job should contact the Human Resources Department and request such an accommodation. The individual with the disability should specify in writing what barriers or limitations make it difficult for him or her to perform the job. The Company will partner with the applicant or employee to identify possible accommodations, if any, that will help to eliminate the barrier(s) or limitation(s). If the accommodation is reasonable and will not impose an undue hardship on the Company and/or a direct threat to the health and/or safety of the individual or others, the Company will make the accommodation. The Company may also propose an alternative accommodation(s).

BACO Realty will also consider requests for reasonable accommodations for conditions related to pregnancy, childbirth or related medical conditions, if requested with the advice of the employee's health care provider, as required by law.

NON-HARASSMENT AND NON-DISCRIMINATION POLICY

BACO Realty is committed to providing a work environment free of unlawful harassment and discrimination. Harassment includes any form of verbal, physical or visual conduct that creates an intimidating, offensive, or hostile work environment or that interferes with performance. The Company prohibits harassment and discrimination based on an individual's membership in a particular group, such as race, color, religion, creed, gender, pregnancy or related medical conditions, age, national origin or ancestry, disability, marital status, genetic information, sexual orientation, gender expression or identity, hairstyle, or veteran status, or any other basis protected by federal, state, or local law. The Company also prohibits harassment or discrimination based upon the perception that a person has, or is associated with a person who has, any of these characteristics. The Company's policy prohibits harassment and discrimination of employees, applicants, and persons providing services pursuant to contract.

The Company is committed to taking all reasonable steps to prevent harassment and discrimination from occurring. Supervisors or managers who receive complaints or observe what may be harassing conduct must promptly inform their Human Resources representative.

SEXUAL HARASSMENT DEFINED

Sexual harassment is illegal and will not be tolerated under any circumstances. Sexual harassment is any conduct that could be reasonably construed as sexually offensive, harassing, or in any way discriminatory on the basis of sex and gender. In addition, sexual harassment may include unwanted visual, verbal, or physical conduct of a sexual nature when (1) submission to such conduct is made a term or condition of employment; or (2) submission to or rejection of such conduct is used as a basis for employment decisions affecting the individual; or (3) such conduct has the purpose or effect of unreasonably interfering with an employee's work performance or creating an intimidating, hostile or offensive working environment. The law prohibits coworkers, supervisors, managers, and third parties from engaging in sexual harassment.

The definition of sexual harassment includes many forms of offensive behavior. The following is a partial list:

- Unwanted sexual advances
- Offering employment benefits in exchange for sexual favors
- Making or threatening reprisals after a negative response to sexual advances
- Visual conduct: leering, making sexual gestures, displaying sexually suggestive objects or pictures, cartoons, e-mails, websites, or posters
- Verbal and written conduct: making or using derogatory comments, e-mails, letters, epithets, slurs, and sexually explicit jokes, comments about an employee's body or dress
- Verbal sexual advances or propositions
- Verbal abuse of a sexual nature, graphic verbal commentary about an individual's body, sexually degrading words to describe an individual, suggestive or obscene letters, notes or invitations
- Physical conduct: touching, assaulting, impeding, or blocking movements
- Actual or threatened retaliation for rejecting advances or complaining about harassment
- Conduct that is sufficiently severe or pervasive so as to interfere with performance and/or create a hostile work environment

It is unlawful for males to sexually harass females or other males, and for females to sexually harass males or other females. Sexual harassment on the job is prohibited whether it involves coworker harassment, harassment by a supervisor or manager, or by persons, including customers or clients, doing business with or for the Company.

The Company complies with all applicable laws requiring sexual harassment training. For more information on the training, you are invited to visit the DFEH's website at: <https://www.dfeh.ca.gov/resources/>. This website contains links to training and other resources pertaining to your rights. Any questions regarding this training should be directed to the Human Resources Department.

WORKPLACE BULLYING POLICY

The purpose of this policy is to communicate to all employees, including supervisors, managers and executives, that BACO will not in any instance tolerate bullying behavior. Employees found in violation of this policy will be disciplined, up to and including termination. BACO defines bullying as repeated, health-harming mistreatment of one or more people by one or more perpetrators. It is abusive conduct that includes:

- Threatening, humiliating, or intimidating behaviors
- Work interference/sabotage that prevents work from getting done
- Verbal abuse

Such behavior violates BACO's Code of Ethics, which clearly states that all employees will be treated with dignity and respect.

BACO considers the following types of behavior examples of bullying:

- Verbal bullying – slandering, ridiculing, or maligning a person or his or her family; persistent name-calling that is hurtful, insulting or humiliating; using a person as the butt of jokes; abusive and offensive remarks
- Physical bullying – pushing, shoving, kicking, poking, tripping, assault or threat of physical assault, damage to a person's work area or property
- Gesture bullying – nonverbal gestures that can convey threatening messages
- Exclusion – socially or physically excluding or disregarding a person in work-related activities

In addition, the following examples may constitute or contribute to evidence of bullying in the workplace:

- Persistent singling out of one person
- Shouting or raising one's voice at an individual in public or in private
- Using obscene or intimidating gestures
- Not allowing the person to speak or express himself or herself (i.e., ignoring or interrupting)
- Personal insults and use of offensive nicknames
- Public humiliation in any form
- Constant criticism on matters unrelated or minimally related to the person's job performance or description
- Public reprimands
- Repeatedly accusing someone of errors that cannot be documented
- Deliberately interfering with mail and other communications
- Spreading rumors and gossip regarding individuals
- Encouraging others to disregard a supervisor's instructions
- Manipulating the ability of someone to do his or her work (e.g., overloading, underloading, withholding information, setting deadlines that cannot be met, giving deliberately ambiguous instructions)
- Assigning menial tasks not in keeping with the normal responsibilities of the job
- Taking credit for another person's ideas

- Refusing reasonable requests for leave in the absence of work-related reasons not to grant leave
- Deliberately excluding an individual or isolating him or her from work-related activities, such as meetings
- Unwanted physical contact, physical abuse or threats of abuse to an individual or an individual's property (defacing or marking up property)

Individuals who feel they have experienced bullying should report this to their supervisor or to Human Resources before the conduct becomes severe or pervasive. All employees are strongly encouraged to report any bullying conduct they experience or witness as soon as possible to allow the Company to take appropriate action.

LIABILITY FOR HARASSMENT AND DISCRIMINATION

Any BACO Realty employee, including any supervisor or manager, who is found to have engaged in harassing or discriminatory behavior is subject to disciplinary action up to and including discharge from employment. An employee who engages in harassment may be held personally liable for monetary damages. The Company will not pay damages assessed personally against an employee.

BACO REALTY'S REPORTING PROCEDURE

BACO Realty's reporting procedure provides for a timely, thorough, and objective investigation of any harassment or discrimination claim, appropriate disciplinary action against one found to have engaged in prohibited harassment or discrimination, and appropriate remedies if warranted under the circumstances.

If you believe you have been harassed or discriminated against on the job, or if you are aware of the harassment or discrimination of others, you must provide a written or verbal report to your supervisor or any other Company supervisor or the Human Resources Department as soon as possible. The report should include details of the incident(s), the names of individuals involved, the names of any witnesses, direct quotes when relevant, and any documentary evidence (notes, pictures, cartoons, etc.). All incidents of harassment or discrimination that are reported will be investigated. The Company will endeavor to protect the privacy and confidentiality of all parties involved to the extent possible consistent with a thorough investigation.

If a complaint of harassment or discrimination is substantiated, appropriate disciplinary action, up to and including discharge, will be taken. Appropriate action will also be taken to deter any future harassment or discrimination.

PROTECTION AGAINST RETALIATION

Applicable law also prohibits retaliation against any employee by another employee or by the Company for reporting, filing, testifying, assisting or participating in any manner in any investigation, proceeding or hearing conducted by the Company or a federal or state enforcement agency. The Company will not retaliate against any employee for filing a complaint and will not knowingly permit retaliation by management employees or coworkers.

Please report any retaliation to your supervisor or any other Company supervisor or the Human Resources Department of the Company. Any report of retaliatory conduct will be objectively, timely and thoroughly investigated in accordance with the Company's investigation procedure outlined above. If a report of retaliation is substantiated, appropriate disciplinary action, up to and including discharge, will be taken. Appropriate action will also be taken to deter any future retaliation.

ADDITIONAL ENFORCEMENT INFORMATION

In addition to the Company's internal complaint procedure, employees should also be aware that the federal Equal Employment Opportunity Commission (EEOC), the California Department of Fair Employment and Housing ("DFEH"), and certain other state agencies investigate and prosecute complaints of harassment or discrimination and retaliation in employment. Employees who believe that they have been harassed or discriminated or retaliated against may file a complaint with either of these agencies. The EEOC, DFEH, and other state agencies serve as neutral fact finders and attempt to help the parties voluntarily resolve disputes. Civil remedies may include damages for emotional distress, hiring or reinstatement, back pay or promotion, or other changes.

For more information, contact the Human Resources Department. You may also contact the local offices of the EEOC, the DFEH or other comparable state agencies as listed in the telephone directory or on the internet at www.eeoc.gov.

OPEN-DOOR POLICY

Problems, concerns, or misunderstandings may arise in the workplace. It is BACO's intent to be responsive to its employees and their concerns. We encourage an open-door policy to promote communication and resolve or clarify concerns.

It is important that concerns be brought forward in a timely fashion so that they can be properly addressed. We encourage you to bring the situation to your supervisor within one week of the occurrence. Most concerns and problems are normally resolved at this level. If you do not feel comfortable having the discussion with your immediate supervisor, you may also go directly to your Human Resources representative, the general manager of SPS, or the director of property management within one week of the occurrence.

If any discussion with a supervisor does not resolve the problem, you may put it in writing and present it to the Human Resources Department. The Human Resources Department will investigate and provide a solution or explanation. It is recommended that you bring this matter

to the Human Resources Department as soon as possible after you believe that your immediate supervisor has not resolved the matter.

This procedure, which we believe is important for both you and the Company, may not result in every problem being resolved to your satisfaction. However, the Company values your input, and you should feel free to raise issues of concern. No employee will be subject to retaliation for filing a complaint.

MUTUAL BINDING ARBITRATION AGREEMENT

You may have signed a Mutual Binding Arbitration Agreement. An employee who decides to not sign this Arbitration Agreement will not be subject to any adverse employment action as a consequence of that decision.

Employees who have signed the voluntary Arbitration Agreement must utilize a system of alternative dispute resolution which involves binding arbitration to resolve all disputes which may arise out of the employment context. Binding arbitration, rather than submitting a dispute for resolution in court is preferred, in part, because of the mutual benefits such as reduced expense and increased efficiency.

It is against Company policy for any employee to be subject to retaliation if he/she exercises his or her right to assert claims under the Company's Arbitration Agreement. If any employee believes that he/she has been retaliated against by anyone at the Company for either forgoing the option to sign the Arbitration Agreement or for assert claims under the Arbitration Agreement, the employee should immediately report this to the Human Resources Department.

For more information, please see BACO Realty's Arbitration Agreement or contact Human Resources.

EMPLOYMENT PRACTICES AND PROCEDURES

EMPLOYMENT STATUS AND INTRODUCTORY PERIOD

A new employee with BACO Realty Corporation will begin with a 90-day Introductory Period. This Introductory Period will be a time to get to know your fellow employees, supervisors and the tasks involved in your job position as well as becoming familiar with BACO Realty Corporation.

This Introductory Period is a try-out time for both you and BACO Realty Corporation, the employer. During this Introductory Period, BACO Realty will evaluate your suitability for employment and you should also evaluate BACO Realty. As is the case following the Introductory Period, at any time during this first 90 days, either BACO Realty or you may terminate the working relationship without cause and without advance notice.

At the end of the Introductory Period you may receive a performance evaluation. If the Company decides you should continue to be employed, you may be advised of any improvements expected

of you and will be given the opportunity to express any recommendations that you have to improve the efficiency of the Company.

If an employee satisfactorily completes the Introductory Period, his or her length of service will be measured from his or her date of hire. The completion of such evaluation period, however, does not mean that the employee or the Company is committed to continuing the employment relationship for any specific term. Rather, satisfactory completion of the 90-day Introductory Period does not alter the at-will nature of the employment relationship at BACO Realty. Either the employee or the Company may terminate the relationship at any time, with or without cause and with or without notice. No implied contract concerning any employment-related decision or term, or condition of employment can be established by any statement, conduct, policy or practice. In deciding to work for BACO Realty, or continuing to work for the Company, the employee must understand and accept these terms of employment. If an employee does not successfully complete the Introductory Period for any reason, his or her employment will be terminated, unless otherwise prohibited by applicable law.

In the event that a temporary employee is offered a position of a regular employee with the Company, the Company will give credit to the employee for the amount of time he or she worked as a temporary employee, for purposes of benefits eligibility, vacation and sick time accruals, and any other benefits to which a waiting period applies or requires regular full-time or regular part-time employment with the Company.

ACCESS TO PERSONNEL RECORDS

The information recorded in your personnel file is extremely important. It is your responsibility to make sure that the personal data in the file is accurate and up to date. Report any change of address, phone number, etc., to the Company immediately. Employees may inspect their personnel file in the presence of a representative of the Company. Please contact your supervisor to schedule a convenient time. You may request copies from your file of any documents that you have previously signed. If you desire, you may add a written statement to your file explaining any disputed item.

Employees also may inspect their payroll records upon request and may obtain a copy of these records at their own expense. The Company will comply with all inspection requests within the time period required by state law unless it is impossible to do so.

Access to information in personnel files is restricted. Only authorized managers and management personnel will have access to your personnel file. However, the Company will cooperate with - and provide access to your personnel file to - law enforcement officials or local, state, or federal agencies in accordance with applicable law.

Health/medical records are not included in your personnel file. These records are confidential. The Company will safeguard them from disclosure and will divulge such information only: 1) as allowed by law; 2) to the employee's personal physician upon written request or permission of the employee; or 3) as required for workers' compensation cases.

EMPLOYEE CLASSIFICATIONS

Employees at BACO realty are classified as full-time non-exempt, part-time non-exempt, or exempt.

FULL-TIME NONEXEMPT EMPLOYEES

Full-time non-exempt employees are those who are normally scheduled to work and who do work a schedule of at least 30 hours per week. Following the completion of the Introductory Period, full-time non-exempt employees are eligible for all employee benefits described in this Handbook.

PART-TIME NONEXEMPT EMPLOYEES

Part-time non-exempt employees are those who are scheduled to work less than 30 hours per week. Part-time non-exempt employees may be assigned a work schedule in advance or may work on an as-needed basis. Part-time non-exempt employees will enjoy only those benefits afforded to you by law, provided you meet the minimum requirements set forth in the law and in the benefit plan.

EXEMPT EMPLOYEES

Exempt employees are those whose job assignments meet the federal and state requirements for overtime exemption. Exempt employees are compensated on a salary basis and are not eligible for overtime pay.

BACKGROUND CHECKS

The Company recognizes the importance of maintaining a safe workplace with employees who are honest, trustworthy, qualified, reliable, and nonviolent, and who do not present a risk of serious harm to their co-workers or others. For purposes of furthering these concerns and interests, the Company reserves the right to investigate an individual's prior employment history, personal references, and educational background, as well as other relevant information. Consistent with legal requirements, following acceptance of a conditional offer of employment, the Company also reserves the right to obtain and to review an applicant's or an employee's criminal history and other relevant information, and to use such information when making employment decisions.

The Company also reserves the right, where and as permitted by state law, to obtain and to review an applicant's or an employee's credit report and to use such information when making employment decisions for (1) managerial positions; (2) positions that involve regular access to bank or credit card account information, social security numbers, or dates of births of others; (3) positions in which the person would be a named signatory on the Company's bank or credit card account, authorized to transfer money on behalf of the Company, or authorized to enter into financial contracts on behalf of the employer; (4) positions that involve regular access to confidential or proprietary information, including a formula, pattern, compilation, program,

device, method, technique, process or trade secret; (5) positions that involve regular access to the Company's (or a customer's or client's) cash totaling at least ten thousand dollars (\$10,000); and (6) positions for which credit information about the applicant/employer is required by law to be disclosed or obtained.

IMMIGRATION COMPLIANCE

The Company will comply with applicable immigration law, including the Immigration Reform and Control Act of 1986 and the Immigration Act of 1990. As a condition of employment, every individual must provide satisfactory evidence of his or her identity and legal authority to work in the United States. The most common forms of identification are a driver's license and social security card; however, other documents can be used.

If you have any questions or need more information on immigration law issues, please contact the Human Resources Department.

RELATIVES AND PERSONAL RELATIONSHIPS AT WORK

A familial or intimate relationship among employees can create an actual or at least potential or perceived conflict of interest in the employment setting, especially where one relative, spouse, partner, etc., supervises another relative, spouse, partner, etc. To avoid the problem, the Company may refuse to hire or place a relative or other intimately associated individual in a position where the potential for favoritism or conflict exists.

In other cases where a conflict or potential for conflict arises, even if there is no supervisory relationship involved, the parties may be separated by reassignment or terminated from employment, at the discretion of the Company. Additionally, employees must not allow personal relationships, familial or otherwise, to interfere with job performance.

For the purposes of this policy, a relative is any person who is related by blood or marriage, or whose relationship with the employee is similar to that of persons who are related by blood or marriage.

JOB DUTIES

During the Introductory Period, your supervisor will explain your job responsibilities and the standards which will be expected. Flexibility is necessary, however, and your job responsibilities may change at any time during your employment.

As part of your job, you are expected to perform all duties and assignments with the Company's legitimate business interests in mind. You are also expected not to take any actions that would directly conflict with the Company's legitimate business interests.

In addition to your regularly assigned job responsibilities and duties, from time to time, you may be asked to work on special projects or to assist with other work important to the operation of your department or the Company. Your cooperation and assistance in performing additional work is expected.

The Company reserves the right, at any time, with or without notice, to alter or change job responsibilities, reassign, or transfer job positions, or assign additional job responsibilities.

MEAL AND REST PERIODS

The Company complies with federal and state legal requirements concerning meal periods and rest breaks. Unless otherwise required by law, non-exempt employees who work more than five hours per day will receive one 10-minute paid break for every four hours worked, and a 30-minute unpaid meal period. Employees may not use Company time to purchase food for personal consumption, run errands or for any other personal purposes, however, employees may use their paid breaks for these personal needs.

LACTATION ACCOMMODATION

The Company provides a supportive environment to enable breastfeeding mothers to express their breast milk during work hours. The Company will provide a reasonable amount of break time to accommodate an employee desiring to express breast milk for the employee's infant child (under one year old). If the break time is more than twenty minutes, the break time will be unpaid. Break time will be provided each time the employee has need to express milk. The employee will work with her supervisor regarding scheduling, and the break should, if possible, run concurrently with any break time the employee is already provided.

The Company will provide employees with the use of a room or private location, other than a bathroom, for the employee to express milk, with nearby access to a sink and refrigerator. The lactation room will be safe, clean, and free of hazardous materials; contain a surface to place a breast pump and personal belongings; contain a place to sit; and have access to electricity. This location may be the employee's private office, if applicable. Employees should discuss with their supervisor, or any other member of management, or Human Resources representative the location to express their breast milk and for storage of expressed milk and to make any other arrangements under this policy.

The Company reserves the right to deny, in writing, an employee's request for a lactation break if the additional break time will seriously disrupt operations.

The Company prohibits retaliation against an employee for exercising or attempting to exercise their rights to lactation accommodations.

OVERTIME

As necessary, employees may be required to work overtime. A supervisor must authorize in advance all overtime work. The Company provides compensation for all overtime hours worked by non-exempt employees in accordance with applicable state and federal law.

Exempt employees are expected to work as much of each workday as is necessary to complete their job responsibilities and are expected to be at the property during normal business hours. No overtime or additional compensation is provided to exempt employees.

The workday begins at 12:01 a.m. and ends at midnight. The workweek begins at 12:01 a.m. Monday and ends at midnight the following Sunday for all employees.

"Non-Exempt" employees are subject to the minimum wage and overtime provisions of the Fair Labor Standards Act (FLSA) and any state regulations. A Non-Exempt employee is eligible for overtime based on the following conditions:

- Overtime may only be worked if the employee's supervisor, director of property management, general manager or owner, authorizes it in advance. If you or any other employee needs to work overtime, please email or call your supervisor, director of property management or the general manager to request permission.
- If you need to attend to an emergency during off hours and cannot obtain permission beforehand, then email or call your supervisor, director of property management or the general manager as soon as you return from attending to the emergency and explain the situation and detail the overtime worked.
- Regardless of whether overtime has been approved, all overtime must be properly recorded via timely punches to the timekeeping system. Such punches must include all hours worked, whether previously approved or not. Even hours that have not been previously approved will be paid; however, the employee may be subject to discipline if he/she does not obtain prior approval or alert his/her supervisor immediately following emergency overtime worked.
- If a non-exempt employee works over eight (8) hours in one day or 40 hours in a payroll workweek, he/she is to be paid at an overtime rate; in accordance with both state and federal regulations as to applicable rates of overtime pay.
- For the purposes of overtime compensation for California employees, non-exempt employees are entitled to overtime pay at the rate of one and one-half times their regular hourly wage rate for the first four hours of work performed in excess of eight hours in one workday, and for the first eight hours of work on the seventh consecutive day of work in any workweek. Overtime pay at the rate of two times their regular hourly wage rate is paid for

all hours worked in excess of twelve in one workday, and for all hours of work in excess of eight hours on the seventh consecutive day of work in any workweek.

- Only actual hours worked in a given workday or workweek will be counted when determining overtime; excused hours of absence (vacation, sick leave, bereavement leave, holiday absence, etc.) do not count as hours worked. However, a full-time, non-probationary employee who works on a holiday will be paid eight hours for the holiday plus one hour of straight time for each hour worked. The Corporate office and SPS may have a different holiday schedule so you must refer to the posted schedule for your division.
- Exempt employees are not subject to the payment requirements of the FLSA including overtime.

Site Employees must call or email their Regional Manager or direct supervisor for approval when overtime is required, and then indicate on the ADP electronic time sheet that the approval was secured via phone call or email.

All time worked must be accurately recorded for corporate and storage employees including all overtime hours worked, whether approved or not. Failure to provide an accurate account of time worked may be grounds for discipline up to and including termination.

TIMEKEEPING PROCEDURES

BACO tracks work, holidays, vacations, sick and other time for its employees via an electronic timekeeping system (ADP). Upon hire, employees will be provided with a login and password so that they may record their time. The Company pays for all time worked, and no off-the-clock work is permitted.

In addition, all employees are required to take daily scheduled rest and meal periods in compliance with applicable state and federal law. You may not work through any rest or meal periods unless you have signed a valid and lawful waiver in compliance with applicable state law.

All employees must punch in and out during their applicable meal breaks, and any other brief absences, for example, health-related appointments. Employees are responsible for keeping the manager and regional manager advised of their departures and returns to the premises during the workday.

If an employee misses a punch or correction of hours is necessary, the employee must notify his/her supervisor/manager immediately. Corporate and facility managers will be set up with the ability to approve time and handle corrections or adjustments for employees, provided there is no previously determined conflict of interest (family connection, spouses, and domestic partners). Any corrections or adjustments for corporate or facility managers, or those determined to be exempt from approval responsibility, should be directed to your regional manager. Excessive missed punches will be grounds for disciplinary action up to and including termination of employment.

Each employee is responsible for his/her own punches. No employee may, at any time, punch in/out for another employee. Under no circumstances may an employee share his/her password with another employee. Employees are required to punch themselves in/out using a computer

located in the office of each site. Employees are not allowed to punch in/out using a laptop, phone, or any device (except for employees who are specifically set up with rights via Human Resources). Should any tampering with time records occur, such action would be grounds for immediate discipline up to and including termination.

WAGE GARNISHMENTS

The Company is obligated to follow federal and state wage garnishment laws. Thus, in the event that a legally mandated deduction is taken from an employee's paycheck, the paycheck/stub will reflect the deduction.

PAYCHECKS

Paychecks are distributed twice a month on the 15th and last day of the month. If these dates fall on weekend or a holiday, then the paycheck will be available on the prior business day. Direct deposit is also available to all employees upon request.

No one other than the employee to whom the check is written will be allowed to pick up a paycheck unless written authorization has been given for another person to do so.

The Company does not permit advances against paychecks or against unaccrued vacation or sick leave.

Employees should review their paychecks at the time of receipt (or the pay stub if the paycheck is deposited directly). If you believe your paycheck is incorrect for any reason, contact your Manager and/or Human Resources immediately.

SALARY PAY POLICY

In general, exempt employees will receive their salary for any week in which the employee performs any work. However, an exempt employee's salary may be reduced in certain situations. For example, an exempt employee's salary may be reduced for complete days of absence due to unpaid vacations, unpaid sick or personal business, before vacation or sick leave benefits accrue or after they are exhausted, and incomplete initial and final weeks of work.

An exempt employee's salary will not be reduced due to partial weeks of work due to service as a juror, witness, in the military, or for lack of work.

This salary pay policy is intended to comply with the salary pay requirements of the Fair Labor Standards Act, as well as applicable state law, and shall be construed in accordance with these laws. Exempt employees are encouraged to bring any question concerning their salary pay to the Human Resources Department so that any inadvertent error can be corrected.

PERFORMANCE EVALUATIONS

Your supervisor may periodically review your performance and discuss the review with you. Your first performance evaluation may be conducted after you complete your Introductory Period. After that review, you may receive an annual performance evaluation on or about the anniversary date of your employment with the Company. The frequency of performance evaluations may vary depending upon, among other things, length of service, job position, past performance, changes in job duties or recurring performance problems.

Your performance evaluations may include a review of the quality and quantity of the work you perform, your knowledge of your job, your initiative, your work attitude and your attitude towards others. The performance evaluation should help you become aware of the progress you are making, the areas in which you need to improve, and objectives or goals for future work performance. Positive performance evaluations do not guarantee increases in salary or promotions. Positive performance evaluations likewise do not guarantee continued employment; you remain an at-will employee. Salary increases and promotions are solely within the discretion of the Company and depend upon many factors in addition to your individual performance.

PERSONNEL RECORDS

The information recorded in your personnel file is extremely important. Make sure that the personal data in the file is accurate and up to date. Please report any change of address, phone number, etc., to the Human Resources Department immediately.

As an employee of the Company you may inspect your personnel file, as provided by law, in the presence of a Company representative at a mutually convenient time. Unless required by law, no copies of documents in your file may be made, with the exception of documents which you have previously signed. You may add your version of any disputed item to the file.

The Company will restrict disclosure of your personnel file to authorized individuals within the Company. Any request for information from personnel files must be directed to the Human Resources Department. Only the Human Resources Department is authorized to release information about current or former employees. Disclosure of personnel information to outside sources will be limited; however, the Company will cooperate with requests from authorized law enforcement or local, state or federal agencies conducting investigations.

Health and medical records are confidential and not included in your personnel file. The Company will safeguard them from disclosure and will divulge such information only (1) as allowed by law; (2) to the employee's personal physician upon written request with permission of the employee; or (3) as required for workers' compensation cases.

TERMINATIONS

All employment with BACO Realty Corporation is voluntary and “at will.” An employee may terminate or be terminated his or her employment at any time for any reason with or without notice.

Whether voluntary or involuntary, all Company-owned property (e.g., computers, vehicles, keys, passwords, uniforms, identification badges, credit cards) must be returned at the time of termination. If you live, for the convenience of the Company, on the worksite in residence provided by the Company, you lose your license to reside on the property at the time of termination.

VOLUNTARY

Voluntary termination of employment is a self-imposed resignation submitted by an employee. The signed notice of termination should be given by the employee to his/her supervisor in writing at least two (2) weeks prior to date of termination. While not required, failure to submit two (2) weeks’ notice disqualifies an employee for re-hire.

If an employee is absent from work for three (3) consecutive days and does not contact his/her supervisor during those three (3) days the employee will be considered to have abandoned his/her job, therefore, voluntarily resigning, and he/she will not be eligible for re-hire.

INVOLUNTARY

Employees may be terminated for violation of Company policy or other misconduct. Refer to the Standards of Conduct below for examples of prohibited conduct that may result in involuntary termination. Nothing in this policy alters the at-will nature of employment.

REDUCTIONS IN FORCE

While the Company hopes to continue growing and providing employment opportunities, changes in the economy, business conditions, consumer demand and other factors can create a need to restructure or reduce the number of people employed.

If it becomes necessary to restructure our operations or reduce the number of employees, the Company will attempt to provide advance notice, if possible, so as to minimize the impact on those affected. Employees subject to layoff will be informed of the nature of the layoff and the foreseeable duration of the layoff, whether short-term or indefinite, if possible.

In determining which employees will be subject to layoff, the Company may consider, among other things, operational requirements, the skill, productivity, ability and past performance of those involved, and also, where feasible, length of service. Ultimately, however, the Company has the sole discretion to determine which employees will be selected for layoff.

REFERENCES

This policy is intended to provide guidelines regarding the release of information about current and former employees of BACO Realty Corporation, to comply with various legal requirements concerning such release of information, and to protect the individual's right of privacy. All personnel information pertaining to any employee is the property of BACO Realty Corporation. All inquiries regarding a current or former employee are to be directed to the corporate office in San Francisco. Release of information including, but not limited to, that described in this policy requires prior written approval of the employee.

- The only information that will be released regarding employees is as follows:
- Hire date
- Last day worked
- Position title
- Full-time or part-time status

Typical inquiries include employment reference, credit, government security, law enforcement agencies, etc. If an employment reference is requested, the employee should advise the inquirer to the Work Number. Provide your employer code: 119677 to the verifier and direct them to www.theworknumber.com. To provide salary information:

Click the "I'm an Employee" tab Click "Enter Site" Enter your Employer's Name or Code (or use the "Find Employer Name" look-up feature) Click "Log In" Enter your User ID	Note – If this is your first time accessing The Work Number, you will use a default User ID and PIN sequence established by your employer. For BACO Realty employees, the default ID and PIN scheme is:User ID: Social Security Number (SSN) PIN Scheme: Last 4 of SSN + 4 Digit Year of Birth
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PERSONAL REFERENCES

When an individual lists a member of the staff (including a former supervisor) as a personal reference, it will remain the prerogative of the staff member to give the reference provided it is qualified as a personal reference only rather than a job reference.

NEWS MEDIA

In the case of a natural disaster or a crime occurring on a BACO Realty property, it may be necessary to speak to a news reporter. It is important to respect the reporter and understand that he or she is simply doing his or her job. Do not simply tell the reporter, "No comment." Instead, the property manager's standard response is: "Thank you for inquiring. Our main concern is to provide assistance to our tenants. Once our tenants' needs have been satisfied, a corporate representative will provide further comment." No other statement should be made to any news media outlet or third party.

STANDARDS OF CONDUCT

PROHIBITED CONDUCT

Although there is no way to identify every possible violation of standards of conduct, the following infractions are representative of the types of conduct that will result in corrective action, up to and including immediate dismissal:

- Violation of any Company rule or policy
- Violation of any security or safety rule, including OSHA and EPA regulations
- Destruction of Company property
- Gambling on the premises or soliciting others for gambling purposes
- Any violation of the Employee Substance Abuse Policy as defined in this manual
- Possession of dangerous or illegal firearms, weapons, or explosives on Company property or while on duty
- Engaging in criminal conduct or acts of violence or making threats of violence toward anyone on Company premises or when representing BACO Realty Corporation
- Threatening, intimidating, or coercing fellow employees on or off the premises – at any time, for any purpose
- Bullying toward fellow employees or tenants, including, but not limited to, threatening, humiliating, or intimidating behaviors, verbal abuse, and work interference/sabotage that prevents work from getting done
- Theft from, or fraud against, fellow employees, tenants, or the Company
- Unexcused tardiness or absences
- Unsatisfactory job performance

- Leaving the Company premises without permission during work hours, other than to take an off-duty (clocked out) meal period
- Leaving the Company premises during an on-duty meal period without permission when working alone at the facility
- Closing the office during regular business hours without prior supervisor authorization
- Absent extraordinary circumstances, management employees are expected to work in the office and/or on the premises at all times. Absent written approval, in advance, from regional manager, managerial employees may not perform work or conduct business from their home, whether Company-provided or not
- Conviction of a criminal offense that reflects adversely on BACO Realty Corporation while employed by BACO Realty Corporation
- Having weapons on Company property is not permitted (including in cars parked on the premises)
- Fair Housing violations including discrimination
- Delinquent accounts owed to the Company including housing rent
- Falsification of information in completion of employment application
- Falsifying any Company report or record
- Violating BACO Realty Corporation Policy on Property and Information as defined in the BACO Realty Corporation Property and Information Section of this handbook
- Violating the BACO Realty Corporation Code of Ethics found in this handbook
- Any act of harassment
- Sleeping on the job
- Any act of insubordination (disobedience to proper authority)
- Failure to immediately report damage to, or an accident involving Company equipment
- Failure to maintain a neat and clean appearance as outlined in the Professional Attire section of this manual and as defined by your supervisor
- Having family, friends, or visitors on the property for extended periods of time during business hours
- Permitting non-employees to come behind the counter or perform the employee's job duties

This list is not intended as definitive or all-encompassing.

This statement of prohibited conduct does not alter BACO Realty Corporations' policy of employment at will. Either you or the Company may terminate the employment relationship at any time for any or no reason, with or without cause or notice.

DISCIPLINARY ACTIONS

Violation of the BACO Realty Corporation Standards will result in one or a combination of the following forms of corrective action such as verbal and written warnings or suspension with or without pay and termination. The Company does not follow a progressive discipline policy and therefore reserves the right to issue any type of disciplinary action, up to and including termination, without issuing any prior warning.

This statement regarding disciplinary actions does not alter BACO Realty Corporations' policy of employment at will. Either you or the Company may terminate the employment relationship at any time for any or no reason, with or without cause or notice.

OFF DUTY CONDUCT

The Company will not take any adverse employment action against any employee for engaging in lawful conduct occurring during nonworking hours away from BACO Realty's premises. However, under certain circumstances, if an employee's personal conduct begins to adversely affect either his or her performance on the job or begins to make it impossible for him or her to carry out any one or all of his or her job duties while at work, appropriate discipline up to and including discharge may be appropriate. For this reason, you should be aware of the following policies:

- Illegal off-duty conduct, which adversely affects the Company's legitimate business interests or your ability to perform your job, will not be tolerated
- In accordance with the foregoing, the following types of outside employment are prohibited:
 - Employment which conflicts with your work schedule, duties and responsibilities or creates an actual conflict of interest
 - Employment which impairs or has a detrimental effect on your work performance with the Company
 - Employment which requires you to conduct work or related activities on Company property, during Company working hours or using Company facilities and/or equipment
 - Employment which directly or indirectly competes with the business or the interests of the Company
 - For the purposes of this policy, self-employment is considered outside employment

OUTSIDE EMPLOYMENT

BACO recognizes that some employees may need or want to hold additional jobs outside their employment with the company. Employees are permitted to engage in outside work or hold other jobs, subject to certain restrictions based on reasonable business concerns.

BACO applies this policy consistently and without discrimination to all employees, and in compliance with all applicable employment and labor laws and regulations. The following rules for outside employment apply to all employees notifying their supervisors or managers of their intent to engage in outside employment:

- Work-related activities and conduct away from the Company must not compete with, conflict with, or compromise the company's interests or adversely affect job performance and the ability to fulfill all responsibilities to BACO. Employees are prohibited from performing any services for customers of the Company that are normally performed by the Company. This prohibition also extends to the unauthorized use of any company tools or equipment and the unauthorized use or application of any company confidential information. In addition, employees may not solicit or conduct any outside business during work time for the Company.
- Employees must carefully consider the demands that additional work activity will create before accepting outside employment. Outside employment will not be considered an excuse for poor job performance, absenteeism, tardiness, leaving early, refusal to travel, or refusal to work overtime or different hours. If outside work activity causes or contributes to job-related problems at the Company, the employee will be asked to discontinue the outside employment, and the employee may be subject to the normal disciplinary procedures for dealing with the resulting job-related problem(s).
- Employees may not use Company paid sick leave to perform work for another employer.
- If an employee's outside employment presents a conflict of interest with the Company, or if such outside employment has any potential for negative impact on the Company, the employee will be asked to terminate the outside employment.
- Fraudulent use of company sick leave or an employee's refusal to comply with the Company's reasonable request to terminate outside employment may result in immediate termination of employment with BACO.

The Company shall in no way assume any responsibility for an employee's outside employment. Specifically, the Company shall not provide workers' compensation coverage or any other benefit for injuries occurring from or arising out of any outside employment. If you wish to engage in outside employment which may create a conflict of interest, you must submit a written request to the Human Resources Department explaining the details of the outside employment. The Human

Resources Department in its sole discretion may authorize the request, however, authorization to engage in such outside employment can be revoked at any time.

DRUG AND ALCOHOL USE

All employees of BACO Realty are prohibited from manufacturing, cultivating, distributing, dispensing, possessing, or using illegal drugs at all times. "Illegal drug" means any drug that is not legally obtainable, that is legally obtainable but has not been legally obtained, or that is legally obtained but its use is otherwise prohibited by federal law. It includes prescription drugs not being used for prescribed purposes or by the person to whom it is prescribed or in prescribed amounts.

Illicit drug use and indiscriminate alcohol consumption puts everyone at risk and cannot be tolerated. In keeping with our efforts to promote health and safety and protect the interests of our employees, tenants, and the Company, we cannot allow anyone to use, possess, sell, manufacture, purchase, or be under the influence of alcohol, or any illegal drugs, including marijuana, intoxicants, or controlled substances at any time on Company premises, in Company vehicles, or while on Company business. Furthermore, the involvement of employees in these activities off the job raises significant concerns for the Company and will be treated with equal severity.

An employee's use of lawfully prescribed drugs may affect his or her job performance, such as by causing dizziness or drowsiness. It is the employee's responsibility to determine from his/her physician whether a prescribed drug may impair safe job performance and to notify a supervisor of any job restrictions that should be observed as a result.

PROHIBITED ACTS

The Company strictly prohibits the following:

- Possessing, using, or being under the influence of alcohol or an illegal drug, including marijuana, intoxicant, or controlled substance during working hours or while on Company business;
- Driving a vehicle on Company business while under the influence of alcohol or an illegal drug, including marijuana, intoxicant, or controlled substance;
- Distributing, selling, manufacturing, or purchasing of – or attempting to distribute, sell, manufacture, or purchase – an illegal drug, including marijuana, intoxicant, or controlled substance during working hours, while on Company business, or while on Company-owned or occupied premises;
- Testing positive for illegal drugs or alcohol on a required or requested drug or alcohol test or screen;
- Refusing either to take or to release information regarding a required or requested drug or alcohol test or screen;
- Violating any Company rule or policy regarding alcohol and drug use.

INITIAL SCREENING FOR APPLICANTS

During the application process, the following steps will take place:

1. If the applicant is selected to be interviewed for the position, the applicant will thereafter be asked to sign an authorization for required drug testing.
2. If the applicant is selected for the position, an offer of employment will be made contingent upon passing the required drug test and any other screening.
3. The applicant will have three (3) business days to complete the required drug testing. If testing is not completing in the time frame given, the offer of employment may be retracted.

TESTING PROGRAM

As part of BACO Realty's zero tolerance policy, the Company shall have the right to require an employee to submit to testing for drug, and/or alcohol use as a continuing condition of employment as the Company deems necessary to the safe and efficient operation of the program, when a work-related injury or incident occurs and employee drug use is likely to have contributed to the incident, and for which a drug test can accurately identify impairment caused by drug use or is otherwise required. An employee who refuses to submit to drug and/or alcohol testing or who tests positive may be suspended from duty pending further investigation and may be subject to discipline, up to and including immediate discharge, as permitted by law. The Company will comply with all applicable federal, state, and local testing laws, regulations and ordinances. Employees suspected of possessing alcohol, illegal drugs, including marijuana, intoxicants, or controlled substances are subject to inspection and search, with or without notice. Employees' personal belongings, including any bags, purses, briefcases, and clothing, and all Company property, are also subject to inspection and search, with or without notice. Employees who violate this policy or who are suspected of violating this policy (as determined at the Company's discretion) will be removed from the workplace immediately and will be subject to disciplinary action. The Company may also bring the matter to the attention of appropriate law enforcement authorities. Any conviction for criminal conduct involving illegal drugs, intoxicants, or controlled substances, whether on- or off-duty, or any violation of the Company's drug abuse policy, may lead to disciplinary action, up to and including employment termination.

An employee's conviction on a charge of sale, distribution, manufacturing—or attempted sale, distribution, or manufacturing—or possession of any controlled substance while off Company property will not be tolerated because that conduct, even though off duty, reflects adversely on the Company. In addition to reflecting adversely on the Company, the Company must keep people who are involved with illegal drugs, intoxicants, and controlled substances off premises owned or occupied by the Company in order to keep those substances off the premises.

The use of prescription drugs and/or over-the-counter drugs may also affect an employee's job performance and seriously impair that employee's value to the Company.

Any employee who is using prescription or over-the-counter drugs that may impair his or her ability to safely perform the job or may affect the safety or well-being of others must submit a physician's statement that the prescription drug use will not affect job safety. The employee is not required to identify the medication or the underlying illness. The Company continues to prohibit the use of all marijuana, including medical marijuana, while the employee is working and/or on Company property.

ACCOMMODATION OF EMPLOYEES SEEKING TREATMENT/REHABILITATION

Counseling and Rehabilitation

Employees who voluntarily seek help for substance abuse (self-referral) by contacting the Company will be provided an opportunity to pursue counseling and rehabilitation. The Company will make available to these employees' information about counseling and rehabilitation services. An employee who is receiving counseling and/or treatment for substance abuse may use available vacation, sick leave, or, if eligible, family, and medical leave. Health insurance often covers the costs of such services, but costs not covered must be paid by the employee. The employee cannot return to work until released by a treatment provider to do so. In addition, the employee may be asked to submit to follow-up testing in order to return to work.

An employee's decision to seek help voluntarily will not be used as a basis for disciplinary action, although the individual may be transferred, given work restrictions, or placed on leave, as appropriate. A request for help is considered voluntary only if it is made before the employee is discovered to have otherwise violated this policy.

BACO Realty will attempt to reasonably accommodate employees with chemical dependencies (alcohol or drugs) if they voluntarily wish to seek treatment and/or rehabilitation. Employees desiring assistance should request an unpaid treatment or rehabilitation leave of absence. BACO Realty's support for treatment and rehabilitation does not obligate the Company to employ any person who violates the Company's drug and alcohol abuse policy or whose job performance is impaired because of substance abuse. BACO Realty is also not obligated to reemploy any person who has participated in treatment or rehabilitation if that person's job performance remains impaired as a result of dependency. Employees who are given the opportunity to seek treatment and/or rehabilitation and are involved in any further violations of this policy will not be given a second opportunity to seek treatment or rehabilitation.

PUNCTUALITY AND ATTENDANCE

As an employee of BACO Realty you are expected to be regular in attendance and punctual. All employees are expected to be at work during the normal business hours for their location. Any tardiness or absence causes problems for your fellow employees and your supervisor. When you

are absent, others must perform your workload, just as you must assume the workload of others who are absent.

Employees are expected to report to work as scheduled, on time and prepared to start work. Employees are also expected to remain at work for their entire work schedule, except for meal and rest periods or when required to leave on authorized Company business. Late arrival, early departure or other absences from scheduled hours are disruptive and must be avoided. If you have any questions about your hours, please contact your supervisor.

If you are unable to report for work on any particular day, you must call your supervisor or Regional Manager as soon as possible or at a minimum of one hour before the time you are scheduled to begin working for that day. If the supervisor is notified, the Supervisor is responsible to inform the Regional Manager of all employee absences. If your absence is due to illness, you may be asked to provide a doctor's note. In all cases of non-medical absence or tardiness, employees must provide their supervisor with an honest reason or explanation. Employees must also inform their supervisor of the expected duration of any absence. Absent extenuating circumstances, you must call in on any day you are scheduled to work and will not report to work. The Company will comply with applicable laws relating to time off from work, but it is the employee's responsibility to provide sufficient information to enable the Company to determine if any such law(s) applies to the absence. Employees should keep in touch with their supervisor and notify the Company of any change in their status as soon as possible.

Excessive unexcused absenteeism or tardiness may lead to disciplinary action, up to and including termination of employment. Other patterns of absences or tardiness—regardless of the exact number of days—may warrant disciplinary action. The Company has complete discretion to determine when absences or tardiness are excessive and what, if any, disciplinary action to take.

If you fail to report for work without any notification to your supervisor, you may be considered to have abandoned your employment with the Company. If you are absent from work for three (3) consecutive days and do not contact your supervisor during those three days, you will be considered to have abandoned your job.

Individuals with disabilities may be granted reasonable accommodation in complying with these policies if undue hardship does not result to the Company's operations. However, due to the nature of the Company's operations, particularly BACO Realty's emphasis on superior service to its customers and clients, regular attendance and promptness are indispensable to the ability of most employees to perform essential job functions. Employees will not be penalized for protected absences.

TENANT RELATIONS

We are a service business and all of us must remember that the tenants always come first. Remember, while the tenant is not always right, the tenant is never wrong. Tenants are to be treated courteously and given proper attention at all times. Never regard a tenant's question or concerns as an interruption or an annoyance. Tenant inquiries, whether in person or by telephone, must be addressed promptly and professionally. Discourtesy or inappropriate treatment of tenants may result in disciplinary action, up to and including discharge.

Never argue with a tenant. If a problem develops with a tenant and the tenant remains dissatisfied, ask your supervisor or the Human Resources Department to intervene.

BUSINESS CONDUCT

No employee may accept any fee, commission, payment, gratuity, entertainment service or gift for the employee's benefit, in the normal course of business, from anyone who does business with, or seeks to do business with, BACO Realty Corporation or is a tenant of a BACO Realty Corporation-managed property. An employee will be allowed, as an exception to this policy, to accept a non-cash "holiday gift" with a value of \$25.00 or less.

In the case of expenses paid by such persons for business meals or trips, please discuss this with the Human Resources Department in advance. In no event may a gift, gratuity or expense payment influence a business decision, transaction, or service.

CONFIDENTIALITY

INFORMATION CONFIDENTIALITY

In the course of their work, employees may become knowledgeable of confidential information. Such information includes, but is not limited to, financial, age, health, operating procedures, policies, forms, and client information. Disclosure of such confidential information may be harmful to the Company's business and is considered a serious breach of employee loyalty, trust and ethics and may constitute grounds for disciplinary action, up to and including discharge.

TENANT CONFIDENTIALITY

It is vitally important to respect a tenant's right to privacy. The community staff should refer all inquiries for tenant information to the property/facility manager. Do not disclose any tenant information unless required to do so by a government authority. Ask for photo identification and the reason for the request in writing. Verify that the identification is authentic before releasing any information.

Be aware of fraudulent schemes to elicit information. You are under no obligation to release information concerning tenants even if the caller puts his request in writing and the reason appears to be a valid one. You may receive requests for information from a collection agency, an attorney, a long-lost relative, a friend or someone conducting a survey. Should you release information to any non-governmental authority, the property or facility may be held liable for monetary damages.

You are under no obligation to tell a tenant that an inquiry has been made. However, you may do so as a courtesy. However, you must call the police if you feel the tenant is in immediate danger and you may warn the tenant. Please contact your supervisor or HR if you have any questions about a particular situation.

PROFESSIONAL ATTIRE

Professional Appearance

BACO Properties recognizes that the trend in business attire has become more casual, and the Company allows “business casual” clothing. Every BACO/SPS employee is expected to use good judgment to ensure that their attire presents a professional, well-groomed appearance at all times.

Supervisory Discretion

The dress code recognizes that different selections may be necessary, depending on seasonal changes, type of customer contact, job site location, nature of work, and safety considerations. The final decision on what is appropriate apparel is the responsibility of each supervisor. If your supervisor identifies that your attire and/or grooming are inconsistent with the guidelines herein, they may request that you return to work, having resolved the inconsistency.

SPS Employees’ Dress Code

There are additional guidelines for the attire and grooming of our in-person customer-facing SPS employees because they represent our brand to the public. The guidelines also take into account special safety considerations. Specifically:

- Clothing should always be clean and wrinkle-free
- Ripped, frayed, dirty or stained clothing is not acceptable
- Athletic wear is not permitted (sweatshirts, sweatpants, gym shorts, etc)
- Short pants and T-shirts of any kind are not allowed
- Baggy shirts or pants lower than your natural waistline are not permitted
- Excessively tight garments, plunging or revealing necklines, and bare midriffs are not allowed
- Dresses or skirts more than 3 inches above the knee are not allowed
- Khakis, Dickies®-style slacks and solid black jeans are permitted, as long as they are clean and not ripped

Branded Apparel

- SPS-branded shirts, provided by the Company, are strongly preferred attire for Site Managers
- When SPS-branded shirts are not available, other dress shirts, polo shirts or blouses must be in good condition, reflective of our standards

Hair & Facial Hair

- Long hair must be clean and neat, and must be tied back whenever using power equipment or could otherwise create a safety hazard
- Beards and mustaches are to be kept neat and clean

Hands and Nails

- Hands and nails should be kept neat and clean.
- Nails should be of a conservative length that will not interfere with job duties

Hats and Outerwear

- No hats are to be worn indoors.
- Even when worn outdoors, hats and outerwear must be:
 - plain or SPS-branded (no prominent team or other company logos)
 - neutral color (e.g., black, brown, grey or white)
- Hats may be worn when conducting a walk-through in direct sun
- Baseball caps are acceptable outdoors if they are worn with the bill facing forward

Jewelry, Tattoos, Body Painting & Scents

- Jewelry must be workplace-appropriate and not create a safety hazard for the employee
- Excessive visible body piercings are not allowed
- Tattoos or body painting that may be deemed offensive should be covered
- Visible facial tattoos are not permitted
- Strong fragrances and other strong scents are not permitted

Shoes

- Shoes should be clean, in good condition and a solid, neutral color (black, brown, grey, or white)
- Open-toed, open-heeled, high-heeled shoes and clogs are not allowed at any time due to safety considerations

NOTE: Maintenance personnel are encouraged to wear shoes appropriate for the work environment. While not required, safety-toed and slip resistant shoes are encouraged.

Religious Exceptions

Exceptions to these policies may be made in order to accommodate religious observation. Employees are encouraged to contact HR with any related concerns.

NO SMOKING POLICY

The Company prohibits all smoking in the workplace, including inside all enclosed buildings. Employees wishing to smoke must do so outside Company facilities, at least twenty feet away from all entrances and windows that open and smoking must occur during scheduled meal and rest breaks. This policy prohibits all forms of smoking, including vaping, electronic cigarettes, and similar devices.

POLICY REGARDING WORKPLACE VIOLENCE

PURPOSE AND SCOPE

The Company is concerned about the well-being and personal safety of its employees, tenants and anyone doing business with the Company. Consequently, the Company strictly prohibits workplace violence. Acts of violence and/or threats of violence, whether expressed or implied toward individuals in the Company workplace, are prohibited and will not be tolerated. All reports of incidents will be taken seriously and will be addressed appropriately.

This prohibition against threats and acts of violence (including domestic violence) applies to all persons involved in the operation of the Company, including but not limited to, the Company personnel, contract and temporary workers, and anyone else on the Company property.

DEFINITION OF WORKPLACE VIOLENCE

Workplace violence is any conduct that is severe, offensive, or intimidating enough to make an individual reasonably fear for his/her personal safety or the safety of family, friends or property. Examples of workplace violence include, but are not limited to, threats, or acts of violence or behavior that causes a reasonable fear or intimidation response that occurs:

- On Company premises, no matter what the relationship is between the Company and the perpetrator or victim of the behavior.
- Off Company premises, where the perpetrator is someone who is acting as an employee or representative of the Company at the time, where the victim is an employee who is exposed to the conduct because of work for the Company, or where there is a reasonable basis for believing that violence may occur against the targeted employee or others in the workplace.

Examples of conduct that may be considered threats or acts of violence under this policy include, but are not limited to the following:

- Threatening physical or aggressive contact directed toward another individual or engaging in behavior that causes a reasonable fear of such contact.
- Threatening an individual or his/her family, friends, associates or property with physical harm or behavior that causes a reasonable fear of such harm.
- Intentional destruction or threat of destruction of the Company's or another's property.
- Harassing or threatening physical, verbal, written or electronic communications, including verbal statements, phone calls, emails, letters, faxes, website materials, diagrams or drawings, gestures and any other form of communication that causes a reasonable fear or intimidation response in others.
- Stalking. Stalking is defined as a pattern of conduct over a period of time, however short, which evidences a continuity of purpose and includes physical presence, telephone calls, emails and any other type of correspondence sent by any means.
- Veiled threats of physical harm or like intimidation or statements, in any form, that lead to a reasonable fear of harm or an intimidation response.
- Communicating an endorsement of the inappropriate use of firearms or weapons of any kind.
- Possessing weapons of any type, whether licensed or not, and particularly firearms. The only exception is local, state, and federal law enforcement officers acting in the line of duty.
- Domestic violence. Domestic violence is defined as a pattern of coercive tactics carried out by an abuser against an intimate partner (the victim) with the goal of establishing and maintaining power and control over the victim. Where the abuser's tactics include any of the above-described conduct on Company premises, this policy applies. Where such tactics include any of the above-described behaviors off Company premises, this policy applies where the abuser is someone who is acting as an employee or representative of the Company at the time, where the victim is an employee who is exposed to the conduct because of work for the Company, or where there is a reasonable basis for believing that violence may occur against the victim or others in the workplace. The term "intimate partner" includes people who are legally married to each other, people who were once married to each other, people who have had a child together, people who live together or who have lived together, and people who have or have had a dating or sexual relationship, including same sex couples.
- Workplace violence does not refer to occasional comments of a socially acceptable nature. Such comments may include references to legitimate sporting activities, popular entertainment, or current events. Rather, it refers to behavior that is personally offensive, threatening or intimidating.

NONVIOLENCE POLICY

Any employee who commits workplace violence will be subject to disciplinary action up to and including termination of employment and may also be subject to legal action, as appropriate.

Additionally, where an employee is convicted of a crime of violence or threat of violence under any criminal code provision, the Company reserves the right to determine whether the conduct involved may adversely affect the legitimate business interests of the Company, and it may implement corrective action up to and including discharge as a result. Any employee convicted of such a crime must report the conviction to the Company absent a court order to the contrary. Failure to do so is a violation of this policy and subjects the employee to disciplinary action, including termination from employment.

PROCEDURES FOR REPORTING

In the event that an employee believes that a threat or act of violence has been made against that employee or others, the employee should report the details immediately to his/her supervisor and/or the Human Resources Department.

Failure to report any threats or acts of violence in violation of this policy appropriately is itself a violation of this policy and may subject any employees involved to discipline up to and including discharge.

Retaliation against anyone for reporting an actual or suspected violation of this policy in good faith will not be tolerated and will subject the individual engaging in the retaliation to discipline up to termination. Any complaints about retaliation may be reported in the same manner as violations of this policy are to be reported.

WHAT TO EXPECT FROM THE COMPANY

All incidents of violence and threats of violence that are reported will be taken seriously and investigated. The Company will decide whether its workplace violence policy has been violated and whether preventive or corrective action is appropriate. Any person who engages in a threat or violent action on Company property may be removed from the premises as quickly as safety permits and may be required, at the Company's discretion, to remain off Company premises pending the outcome of an investigation into the incident.

When threats are made or acts of violence are committed by a Company employee, a decision will be made by the Company as to what actions are appropriate, including possible medical evaluation and/or possible disciplinary action.

Once a threat has been substantiated, the Company typically puts the threat maker on notice that he/she will be held accountable for his/her actions and then follows through with the implementation of a decisive and appropriate response.

Under this policy, decisions may be needed to prevent a threat from being carried out, a violent act from occurring or a threatening situation from developing. No existing Company policy or procedure should be interpreted in a manner that prevents the above from occurring. On the contrary, the Company retains complete discretion to act according to the circumstances presented.

Important Note: BACO Realty will make the sole determination of whether, and to what extent, threats or acts of violence will be acted upon by the Company. In making this determination, the Company may undertake a case-by-case analysis in order to ascertain whether there is a reasonable basis to believe that workplace violence has occurred. No provision of this policy shall alter the at will nature of employment at BACO Realty.

THE COMPANY'S EXPECTATIONS OF TARGETED EMPLOYEES

"STAY AWAY" OR RESTRAINING ORDERS

The Company reserves the right to seek "stay away" or restraining orders against any person who violates this policy to the fullest extent allowed by law. In such situations, the Company has an interest in assisting any employee who reports proceedings to obtain a stay away order, or the existence of such a stay away order that may apply to the workplace. Employees of the Company who are targeted by the perpetrator may be asked to work with the Company to obtain such an order against that individual. Likewise, employees who have previously sought a stay away order against a perpetrator and/or are protected by an existing stay away order **must immediately notify** the Company of:

- the existence of any such order and provide a copy of the order;
- any violations or attempted violations of the order;
- any changes to the order; and
- the order being lifted.

CONFIDENTIALITY AND SAFETY

These provisions on workplace violence are intended to protect the safety of all employees and are in no way intended to infringe on an employee's privacy. The primary goal of these guidelines is to encourage an open, ongoing dialogue with the affected employee, and those within the Company who need to know, so that the Company can take reasonable steps to protect workplace safety. The Company's goal is to handle all situations with utmost sensitivity to the particular situation, while meeting the goal of workplace safety and security. The Company asks that employees report all concerns of violence that may affect the employee's performance, co-workers, or the Company. The Company will take necessary steps to protect all employees from any increased threat posed by these concerns.

SEARCH POLICY

The Company reserves the right to conduct workplace inspections for purposes of enforcing this policy. Any refusal to permit an inspection upon request will be subject to disciplinary action, up to and including termination of employment. The discovery of any violation of any other Company policy as a result of such a search will also result in disciplinary action, up to and including termination of employment. Any illegal activity discovered during an inspection is subject to referral to the appropriate law enforcement authorities.

EMPLOYEE BENEFITS

HOLIDAYS

BACO Realty Corporation grants paid holidays each year to provide eligible employees the opportunity to observe certain days of the year as legal holidays. Only full-time employees who have completed their 90-day Introductory Period are eligible for holiday pay.

Holidays will be observed on the day of occurrence. Eligible non-exempt employees will be paid 8 hours of holidays pay on each observed holiday, regardless of whether they are scheduled to work on this day or not. Should the holiday fall on an employee's day off, an alternative day may be selected to be taken as unpaid if approved by their Regional Manager, Director of Property Management, or Owner. This alternative day must generally be taken in the same pay period as the holiday and may not be saved for future use. Exempt employees will receive their regular pay for the week on which a holiday day falls.

An employee must work or use a vacation day the day before and the day after a holiday in order to receive payment for the holiday. If a paid holiday falls during a scheduled and approved vacation period, the holiday will not be charged against vacation leave.

A terminating employee who has given at least two weeks' written notice will be eligible for holiday pay if the employee works through the day following the paid holiday.

Employees who are required to work on paid holidays will be paid for eight hours for the holiday and the straight time for every hour worked. This could or could not be paid as overtime depending on the time worked during the rest of the week.

The corporate office observes the following seven holidays each year:

New Year's Day

Thanksgiving Day

Memorial Day*

Day after Thanksgiving

Independence Day*

Christmas Day

Labor Day*

Security Public Storage observe the following seven holidays each year:

New Year's Day	Labor Day*
Easter Sunday	Thanksgiving Day
Memorial Day*	Christmas Day
Independence Day*	

*We may also elect to remain open on these days based on business needs at a property.

Along with the seven holidays listed above, you also receive one personal holiday (floater) each year and to be loaded on the first pay date of each year, or at the end of a new employee's 90-day probationary period. As your personal holiday (floater) is intended to be used to provide BRC employees with the opportunity to observe a day that is personal to them, any personal holiday, not used by year end, will be paid out to the employee no later than December 31 of each year.

You may elect to take time off to observe your religious holidays. If available, a full day of unused vacation for your personal holiday may be used for this purpose; otherwise, the time is off without pay. You must notify your supervisor at least ten (10) business days in advance.

Holiday pay is not counted for the purpose of calculating an employee's overtime hours of work or overtime premiums.

VACATIONS

The purpose of paid vacation is to recognize the employee's length of service by providing time off with pay. Vacation is necessary as a period of rest and relaxation. An employee is encouraged to take his/her vacation each year. Employee is required to take accrued and unused vacation time before taking unpaid leave or having unpaid absences unless otherwise permitted by State or Federal law.

Every effort will be made to grant you your vacation at the time you desire. However, BACO Realty Corporation must reserve the right to deny requested dates. Vacations should be scheduled well in advance to ensure sufficient personnel coverage. Should conflicts arise when two employees request the same vacation time, the first to request that time will have preference. Vacation time must be taken in a minimum of four-hour increments for exempt employees and one-hour increments for non-exempt employees. Vacation time is not used in the calculation of overtime for non-exempt employees. Exempt employees repeatedly taking less than four hours off of work in a day (thereby circumventing the four-hour minimum increment) may be subject to discipline for excessive absenteeism, except in cases of legally protected absences. In general, BACO Realty Corporation will grant vacation requests for periods of no longer than two weeks to be taken at any one time and has the right to grant or deny vacation requests at its discretion. Employees may not take more than four weeks total vacation in any year.

Vacation balances will automatically roll over to the next calendar year and will continue to accrue as detailed below, until the balance reaches the maximum accrual cap. Alternatively, employees may request a payout of their vacation balance at year-end. To exercise this option, the employee must contact Human Resources with the request prior to December 15th.

Unused floating holidays do not carry over to the next year. If an employee requests a year-end vacation balance payout, an unused floating holiday will be included in the payout amount.

Accrued and unused vacation and/or unused floating holidays will be paid out at termination.

For new employees, vacation time begins to accrue at the end of the 90-day probation period. Thereafter, the accrual schedule is as follows and will advance on the employee's anniversary date:

MAXIMUM ACCRUAL CAPS

Tier	Employment Length	Hours Per Month	Hours/Days Per Year	Maximum Hours Accrual Cap
I	Year 1	3.33	40/5	70
II	Years 2-5	6.67	80/10	140
III	Years 6+ (applies to all employees hired on or after August 1, 2010)	10	120/15	210
IV	Years 10+ (applies only to employees hired prior to August 1, 2010)	13.34	160/20	280

The maximum vacation benefit employees may accrue at any time shall equal one and three-quarters annual vacation accrual at the employee's current accrual level. This is referred to as a "maximum accrual cap." When the accrued, unused vacation balance reaches this maximum, the employee will accrue no additional vacation until sufficient vacation is taken to reduce the accrued balance to less than the maximum accrual limit.

Full-time regular employees are not entitled to take vacation until they have been employed for six months. Employees may only take vacation time which has been accrued. BACO Realty Corporation will not advance paid vacation to employees prior to accrual. At termination, employees will be paid for all actual hours accrued and not used.

Employees on unpaid leaves of absence or other periods of inactive service do not accrue vacation time.

INSURANCE BENEFITS

BACO Realty Corporation is interested in the health and well-being of both you and your family. BACO Realty Corporations full-time regular employees are eligible to participate in group insurance the first of the month following the first 60 days of employment. At that time, you may choose to accept the insurance coverage. BACO Realty Corporation may pay a portion of the insurance costs.

The following benefits package is offered:

Medical Health Care Coverage

Dental Care Coverage

Vision Care Coverage

If the employee elects to participate in the insurance package, the BACO Realty Corporation insurance administrator will provide a booklet detailing comprehensive benefits at that time. Questions concerning insurance coverage should be addressed to the respective insurance administrators.

COBRA (CONTINUATION OF GROUP HEALTH COVERAGE)

In the event an employee should leave BACO Realty Corporation's employment for any reason, the employee and/or the employee's dependents may have the right to continue coverage under the health insurance program for a limited period of up to eighteen months at their own expense.

In the event of any increase in medical insurance premium rates, all employees may be required to contribute to the cost of increased premiums to retain coverage.

DISABILITY INSURANCE

You may be covered by state disability insurance, depending upon the state in which you are employed. For more information contact the Human Resources Department.

UNEMPLOYMENT COMPENSATION

The Company contributes to the Unemployment Insurance Fund for the state in which the employee resides. In the event your employment with BACO Realty ends, you may be entitled to benefits in accordance with your state's Unemployment Insurance Fund.

SOCIAL SECURITY

Social Security is an important part of every employee's retirement benefit. The Company pays a matching contribution to each employee's Social Security taxes.

WORKERS' COMPENSATION

At no cost to you, you are protected by Workers' Compensation Insurance while an employee at the Company. The policy covers you in case of occupational injury or illness by providing, among other things, medical care and compensation.

To ensure that you receive any workers' compensation benefits to which you may be entitled, you will need to:

- Immediately report any work-related injury or illness to your supervisor
- Complete a written Employee's Claim Form and return it to the Human Resources Department
- Seek medical treatment and follow-up care if required

The Company is required by law to notify the workers' compensation insurance company of any concerns of false or fraudulent claims. Any person who makes or causes to be made any knowingly false or fraudulent material statement or material misrepresentation for the purpose of obtaining or denying workers' compensation benefits or payments is guilty of a felony. A violation of this law is punishable by imprisonment and/or fine. Additional civil penalties may also be assessed.

401(K) SAVINGS PLAN

BACO Realty Corporation provides its employees with a vehicle to save for retirement through the BACO Realty Corporation 401(k) Retirement Plan. All employees with one year of service and 1,000 hours who are at least 21 years of age will be able to participate in the plan and may enroll on the first day of the calendar quarter following (or coincident with) meeting the eligibility requirements. Eligible employees may defer a percentage of their income into the 401(k) Retirement Plan through payroll deductions as permitted by the IRS Code. BACO Realty Corporation will match your salary deferral contributions up to 4% of your compensation. Employee contributions and Matching contributions are always 100% vested. Please see the BACO Realty Corporation 401(k) Summary Plan Description (SPD) for more details.

LIFE INSURANCE

BACO Realty Corporation provides all full time BACO employees with a life insurance plan. Please contact Human Resources to learn more about the life insurance plan.

SICK LEAVE POLICY

BACO Realty Corporation offers paid sick leave, in accordance with Federal, State and local laws, when an employee cannot work due to an illness or injury or if an employee needs to attend a medical or dental appointment that cannot be accomplished outside normal working hours. Full-time regular employees may accrue 48 hours of paid sick leave per calendar year, unless State or City law provides for more. Sick leave balances will automatically roll over to the next calendar year and will continue to accrue until the balance reaches the maximum accrual cap of 48 hours. Paid sick leave accrues according to State law and may be used beginning on the 90th day of employment. Maryland and California employees should consult their Supplement to Employee Handbook for sick leave policies which may differ.

An employee may use his/her sick leave accrual to care for a child, parent, legal guardian or ward, parent-in-law, sibling, grandparent, grandchild, spouse, registered domestic partner, or designated person. These relationships include not only biological relationships but also relationships resulting from adoption, step relationships, and foster care relationships. If the employee so chooses, the employee may designate one person as to whom the employee wishes to use sick leave to aid or care for that person. A “designated person” is “any individual related by blood or whose association with the employee is the equivalent of a family relationship.” The “designated person” may be identified by the employee at the time they request the leave. An employee is limited to one “designated person” per 12-month period.

An employee may also use his/her sick leave accrual for bereavement leave for a child, parent, legal guardian or ward, parent-in-law, sibling, grandparent, grandchild, spouse, or registered domestic partner.

1. The Company requires employees to use paid sick leave under this policy in minimum increments of two hours. Sick leave accrues to a maximum of 48 hours (or up to 72 hours for San Francisco employees, and 80 hours for San Diego, as provided by law) and can be carried over from year to year. However, once the maximum amount has been accrued, no further sick leave will accrue until previously accrued sick leave is used. Usage of accrued sick time is limited to a maximum of 48 hours, or six days, whichever is greater, per calendar year.”

An employee who wishes to use their sick leave must inform his or her immediate supervisor or Regional Manager directly each day regarding their absence by at least normal starting time.

For absences of three (3) consecutive days or more, a certification from a health care provider must be submitted. The certificate must state that you are under the provider’s care or treatment for the days in question and that it is the provider’s recommendation that you remain off work. A health care provider’s certification may also be required in other circumstances.

The Company reserves the right to require a second opinion from a health care provider of its choice and a third and final opinion if the second opinion differs from the first.

It is your responsibility to apply for any disability benefits for which you may be eligible as a result of illness or disability, including state disability, if applicable, workers’ compensation insurance,

and/or any other disability insurance benefits. Your sick leave benefits will be fully integrated with other benefits available to you such that at no time will you be paid more than your regular compensation. The Company may require a release from the employee's health care provider before the employee returns to work, unless prohibited by law.

Employees will not accrue sick leave during unpaid leaves of absence.

Employees will not receive pay for any accrued but unused sick leave days at the time of termination.

Employees are required to take accrued and unused vacation time before taking unpaid leave or having unpaid absences unless otherwise permitted by State or Federal law.

LEAVES OF ABSENCE

GENERAL PROVISIONS

BACO Realty may grant a leave of absence in certain circumstances. It is important to request any leave in writing as far in advance as possible, to keep in touch with your supervisor, regional manager, director of property management, general manager or the Human Resources Department during your leave, and to give prompt notice if there is any change in your return date.

You may not obtain other employment that conflicts with the reason for the leave of absence or apply for unemployment insurance while you are on a leave of absence. Acceptance of such other employment or applying for unemployment insurance benefits while on leave may be treated as a voluntary resignation from employment with BACO Realty.

Vacation, holidays, sick leave, and other benefits will not accrue while you are on a leave of absence unless otherwise required by law. Upon return from a leave of absence, the Company will comply with all applicable state and federal reinstatement rights. If you are not on a protected leave of absence, the Company cannot guarantee reinstatement. Employees who are eligible for reinstatement as a matter of law will retain their original date of hire; they will not receive length of service credit for the time they were on leave, unless otherwise required by law.

APPLICABLE LEAVES

Based on the laws of the state in which you are employed, as well as other eligibility requirements, you may be entitled to certain of the leaves of absence set forth below. Not all applicable state leaves of absence are set forth below. Please consult the applicable state supplement for your state for additional information. Additionally, even if not required by law, the Company may, at its discretion, provide a leave of absence to employees. If you believe you need to take a leave of absence, please contact the Human Resources Department to determine whether you are entitled to take a leave.

FAMILY AND MEDICAL LEAVE

The Company will grant family and medical leave in accordance with the requirements of applicable state and federal law in effect at the time the leave is granted. Although the federal and state laws sometimes have different names, the Company refers to these types of leaves collectively as “FMLA Leave.” No greater or lesser leave benefits will be granted than those set forth in such state or federal laws. In certain situations, the federal law requires that provisions of state law apply. In any case, employees will be eligible for the most generous benefits available under applicable federal and state law.

Please contact your supervisor as soon as you become aware of the need for an FMLA Leave. Employees are expected to provide prompt notice to the Company of any change(s) to an employee’s return to work date. Accepting other employment that conflicts with the reason for your leave, continuing to work in another job that conflicts with the reason for your leave, or filing for unemployment insurance benefits while on leave may be treated as a voluntary resignation from employment, unless you and the Company have agreed, in writing, otherwise.

EMPLOYER NOTIFICATION

When an employee requests FMLA leave, or when the Company acquires knowledge that an employee’s leave may be for an FMLA-qualifying reason, the Company will notify the employee of their right to take FMLA leave within (5) five business days, absent extenuating circumstances.

EMPLOYEE ELIGIBILITY

To be eligible for FMLA Leave benefits, you must: (1) have worked for the Company for a total of at least twelve months; (2) have worked at least 1,250 hours over the previous twelve months as of the start of the leave; and (3) work at a location where at least 50 employees are employed by the Company within 75 miles, as of the date the leave is requested.

REASONS FOR LEAVE

State and federal laws allow FMLA Leave for various reasons. Because an employee’s rights and obligations may vary depending upon the reason for the FMLA Leave, it is important to identify the purpose or reason for the leave. FMLA Leave may be used for one of the following reasons:

- the birth, adoption, or foster care of a child within twelve months following birth or placement of the child (“Bonding Leave”);
- to care for an immediate family member (spouse, registered domestic partner, child, or parent with a serious health condition (“Family Care Leave”);
- an employee’s inability to work because of a serious health condition (“Serious Health Condition Leave”);
- a “qualifying exigency,” as defined under the FMLA, which essentially means attending to certain activities in order to prepare for a spouse’s, registered domestic

partner's, child's, or parent's active duty or call to active duty in a foreign country as a member of the military reserves or National Guard or Armed Forces ("Military Emergency Leave") or

- to care for a spouse, child, parent or next of kin (nearest blood relative) – who is (a) an Armed Forces member (including the military reserves and National Guard) undergoing medical treatment, recuperation, or therapy, is otherwise in an outpatient status, or is otherwise on the temporary disability retired list – with a serious injury or illness incurred or aggravated in the line of duty while on active duty that may render the individual medically unfit to perform his or her military duties; or (b) a person who, during the five (5) years prior to the treatment necessitating the leave, served in the active military, Naval, or Air Service, and who was discharged or released there from under conditions other than dishonorable (a "veteran" as defined by the Department of Veteran Affairs) and who has a serious injury or illness incurred or aggravated in the line of duty while on active duty that manifested itself before or after the member became a veteran ("Military Caregiver Leave").

LENGTH OF LEAVE

The maximum amount of FMLA Leave will be twelve (12) workweeks in any twelve-month period when the leave is taken for: (1) Bonding Leave; (2) Family Care Leave; (3) Serious Health Condition Leave; and/or (4) Military Emergency Leave. However, if both spouses (or registered domestic partners) work for the Company and are eligible for leave under this policy, the spouses (or registered domestic partners) will be limited to a total of twelve workweeks off between the two of them when the leave is for Bonding Leave.

The maximum amount of FMLA Leave for an employee wishing to take Military Caregiver Leave will be a combined leave total of twenty-six (26) workweeks in a single twelve-month period.

If both spouses (or registered domestic partners) work for the Company and are eligible for leave under this policy, the spouses (or registered domestic partners) will be limited to a combined total of 26 workweeks off between the two when the leave is for Military Caregiver Leave only or is for a combination of Military Caregiver Leave, Military Emergency Leave, Bonding Leave and/or Family Care Leave taken to care for a parent.

A "single twelve-month period" begins on the date of your first use of such leave and ends twelve months after that date.

Under some circumstances, you may take FMLA Leave intermittently – which means taking leave in blocks of time, or by reducing your normal weekly or daily work schedule. Leave taken intermittently may be taken in increments of no less than two hours.

To the extent required by law, some extensions to leave may be granted when the leave is necessitated by an employee's work-related injury/illness, a pregnancy-related disability, or a "disability" as defined under the Americans with Disabilities Act and/or applicable state or local law. Certain restrictions on these benefits may apply.

NOTICE AND CERTIFICATION

BONDING, FAMILY CARE, SERIOUS HEALTH CONDITION, AND MILITARY CAREGIVER LEAVE REQUIREMENTS

Employees are required to provide:

- When the need for the leave is foreseeable, 30 days' advance notice or such notice as is both possible and practical if the leave must begin in less than 30 days (normally this should be the same day the employee becomes aware of the need for leave or the next business day);
- When the need for leave is not foreseeable, notice within the time prescribed by the Company's normal absence reporting policy, unless unusual circumstances prevent compliance, in which case notice is required as soon as is otherwise possible and practical;
- When the leave relates to medical issues, a completed Certification of Health-Care Provider form within fifteen calendar days (for Military Caregiver Leave, an Invitational Travel Order or Invitational Travel Authorization may be submitted in lieu of a Certification of Health-Care Provider form);
- Periodic recertification (upon request) as permitted by law; and
- Periodic reports during the leave.

Certification forms are available from the Human Resources Department. At the Company's expense, the Company may also require a second or third medical opinion regarding your own serious health condition. Employees are expected to cooperate with the Company in obtaining additional medical opinions that the Company may require.

When leave is for planned medical treatment, you must try to schedule treatment so as not to unduly disrupt the Company's operation. Please contact the Human Resources Department prior to scheduling planned medical treatment.

MILITARY EMERGENCY LEAVE

Employees are required to provide:

- As much advance notice as is reasonable and practicable under the circumstances;
- A copy of the covered military member's active duty orders when the employee requests leave; and
- A completed Certification of Qualifying Exigency form within fifteen calendar days, unless unusual circumstances exist to justify providing the form at a later date.

Certification forms are available from the Human Resources Department.

FAILURE TO PROVIDE CERTIFICATION AND TO RETURN FROM LEAVE

Absent unusual circumstances, failure to comply with these notice and certification requirements may result in a delay or denial of the leave. If you fail to return to work at your leave's expiration and have not obtained an extension of the leave, the Company may presume that you do not plan to return to work and have voluntarily terminated your employment.

COMPENSATION DURING LEAVE

Generally, FMLA Leave is unpaid. However, you may be eligible to receive benefits through state-sponsored or Company sponsored wage replacement benefit programs. If you are eligible to receive these benefits, you may also choose to supplement these benefits with the use of accrued vacation and sick leave, to the extent permitted by law and Company policy. All such payments will be integrated so that you will receive no more than your regular compensation during this period. If you are not eligible to receive any of these wage replacement benefits, the Company may require you to use accrued vacation and sick leave to cover some or all of the FMLA Leave. The use of paid benefits will not extend the length of an FMLA Leave.

BENEFITS DURING LEAVE

The Company will continue making contributions for your group health benefits during your leave on the same terms as if you had continued to work. This means that if you want your benefits coverage to continue during your leave, you must also continue to make any premium payments that you are now required to make for yourself or your dependents. Employees taking Bonding Leave, Family Care Leave, Serious Health Condition Leave, and Military Emergency Leave will generally be provided with group health benefits for a twelve-workweek period. Employees taking Military Caregiver Leave may be eligible to receive group health benefits coverage for up to a maximum of 26 workweeks. In some instances, the Company may recover premiums it paid to maintain health coverage if you fail to return to work following an FMLA Leave.

If you are on a medical or other leave, but are not entitled to continued paid group health insurance coverage, you may continue your coverage through the Company in conjunction with federal and/or state COBRA guidelines by making monthly payments to the Company for the amount of the relevant premium. Please contact the Human Resources Department for further information.

Your length of service as of the leave will remain intact, but accrued benefits such as vacation and sick leave will not accrue while on an unpaid FMLA Leave.

JOB REINSTATEMENT

Under most circumstances, you will be reinstated to the same position held at the start of the leave or to an equivalent position with equivalent pay, benefits, and other employment terms and conditions. However, you have no greater right to reinstatement than if you had been continuously employed rather than on leave. For example, if you would have been laid off had you not gone on leave, or if your position has been eliminated during the leave, then you will not be entitled to reinstatement.

Prior to being allowed to return to work, an employee wishing to return from a Serious Health Condition Leave must submit an acceptable release from a health care provider that certifies the employee can perform the essential functions of the job with or without reasonable accommodation, as those essential functions relate to the employee's serious health condition. For an employee on intermittent FMLA Leave, such a release may be required if reasonable safety concerns exist regarding the employee's ability to perform his or her duties on a full-time basis, based on the serious health condition for which the employee took the intermittent leave.

"Key employees," as defined by law, may be subject to reinstatement limitations in some circumstances. If you are a "key employee," you will be notified of the possible limitations on reinstatement at the time you request a leave.

A Notice to Employees Of Rights Under FMLA is attached to this policy, though whether an employee is eligible for FMLA Leave benefits depends on whether the employee: (1) has worked for the Company for a total of at least twelve months; (2) has worked at least 1,250 hours over the previous twelve months as of the start of the leave; and (3) works at a location where at least 50 employees are employed by the Company within 75 miles, as of the date the leave is requested.

WORKERS' COMPENSATION DISABILITY LEAVE

The Company will grant a workers' compensation disability leave if you have an occupational illness or injury, in accordance with state law. As an alternative, the Company may offer you temporary modified work. Leave taken under the workers' compensation disability policy runs concurrently with family and medical leave under both federal and state law.

NOTICE AND CERTIFICATION REQUIREMENTS

You must report as soon as possible all workplace accidents, injuries, and illnesses no matter how minor to your supervisor. In addition, you must provide the Company with a certification from a healthcare provider of your workplace injury or illness, your inability to work, and/or your work restrictions, and the expected duration of your restrictions and/or inability to work.

COMPENSATION DURING LEAVE

You may be entitled to wage replacement benefits under the applicable workers' compensation insurance provisions. You may take accrued sick, vacation time and/or your personal holiday during the leave. All such payments will be integrated with any state disability, workers' compensation, or other wage reimbursement benefits for which you may be eligible. At no time will you receive a greater total payment than your regular compensation.

BENEFITS DURING LEAVE

If you are also eligible for FMLA leave, the Company will maintain, for up to a maximum of twelve workweeks per twelve-month period, any group health insurance coverage that you were provided before the leave was taken and on the same terms as if you had continued to work.

REINSTATEMENT

Upon the submission of a medical certification that you are able to return to work, you will be considered for reinstatement in accordance with applicable law. If you need a reasonable accommodation to allow you to perform the essential functions of your job, the Company will engage in an interactive process with you regarding those accommodations, pursuant to applicable state and federal law. If you are returning from a workers' compensation disability leave that runs concurrently with a family and medical leave, then the reinstatement provisions of the Family and Medical Leave policy will also apply. In all circumstances, you must submit an acceptable health care provider statement certifying your release to work. You should also provide as much notice as possible regarding the date of your return to work.

MILITARY LEAVE (ACTIVE AND RESERVE SERVICE)

Leave without pay is provided to you in accordance with applicable law when you serve in any of the uniformed services of the United States, including National Guard. Reserves. You are afforded reemployment rights and retain full seniority benefits for all prior service upon reemployment in accordance with the Uniformed Services Employment and Reemployment Rights Act and applicable state law. You must notify the Human Resources Department of your need for military leave as soon as possible. You also need to bring your official military service orders to the Human Resources Department for review prior to commencement of the leave.

OTHER TIME OFF

FUNERAL OR BEREAVEMENT TIME OFF

Employees who have worked for BACO 30 days are eligible to take up to five (5) workdays to attend the funeral and take care of personnel matters related to the death of a qualifying family member. BACO provides three paid days bereavement leave; employees may utilize their accrued and unused paid sick time or vacation time for the fourth and fifth day. The five days of bereavement leave do not need to be taken consecutively; they can be intermittent. "Family member" is defined by CFRA and includes a spouse, child (including foster children and stepchildren), parent (including legal guardian and stepparent), sibling, grandparent, grandchild, domestic partner, parent-in-law, or designated person. A "designated person" is "any individual related by blood or whose association with the employee is the equivalent of a family relationship." The "designated person" may be identified by the employee at the time they request the leave. An employee is limited to one "designated person" per 12-month period.

Paid time under this policy is given over and above any time allowed and earned under our Sick or Vacation Leave Policy.

PERSONAL LEAVE OF ABSENCE

Employees with one year of service or longer may take an extended leave of absence for personal reasons. Approval for such leave is made on a case-by-case review. To request such a leave, employees must contact Human Resources. Personal leave is unpaid.

CIVIC DUTY TIME OFF

Should a full-time employee, exempt and non-exempt, be called for jury or witness duty (by court or subpoena), he/she will receive regular pay during this absence for up to three (3) workdays. Part-time employees are not eligible for paid jury and/or witness duty, but will be eligible for unpaid time off.

The Company will offset the jury duty fees paid by the court from the employee's regular compensation.

Employees may use accrued, unused paid time off for leave taken under this policy. The notice and eligibility requirements for any such paid time off will generally apply to an employee's request for use of paid time off under this policy. Exempt employees will not incur any reduction in pay for a partial week's absence due to jury or witness duty.

Jury and witness duty pay does not apply if an employee is a party to, or has a personal interest in legal or court proceedings (i.e., appearing as, or on behalf of a plaintiff or defendant).

You must notify your supervisor of the need for time off for jury or witness duty as soon as a notice or summons from the court or a subpoena is received.

If work time remains after any day of jury or witness duty, you will be expected to return to work for the remainder of your work schedule.

If you work in a state that offers greater leave rights, the Company will comply with all applicable local and state leave laws.

FACILITIES

USE OF EQUIPMENT

The objective of this policy is to ensure that every employee assumes responsibility for protecting both BACO Realty's property and information entrusted to him/her, as well as BACO Realty's assets in general.

PHYSICAL PROPERTY

BACO Realty's property such as vehicles, office supplies, maintenance supplies, tools and equipment are to be used to conduct the Company's business. Employees' use of such property for personal needs is not permitted without appropriate supervisory authorization.

PERSONAL PHONE CALLS

Employees should arrange to make or receive calls before or after regular work hours or at breaks unless personal emergencies require immediate attention.

TECHNOLOGY/INFORMATION

BACO Realty's computer hardware, software programs and associated media may not be removed or copied without appropriate supervisory authorization.

BACO Realty computer network systems are to be used only for purposes that benefit the Company.

Transmission of any material in violation of U.S. or state laws or regulations is prohibited.

Software that has not been approved by the director of property management; general manager is prohibited. Computer games are not to be installed and/or played at any time on Company computers. Likewise, Internet files are not to be installed or downloaded at any time, without prior permission from your supervisor.

All use of the internet and email on Company equipment must be for business purposes only.

CELLULAR TELEPHONES AND BRING YOUR OWN DEVICE POLICY

Any employee who is issued a cellular telephone is responsible for keeping the phone in operating condition at all times. Phones are to be tested daily and it is the sole responsibility of the employee to maintain a properly working phone. A phone damaged as a result of a negligent act by an employee or, if for any reason, the phone is lost the employee shall be responsible for the cost of the replacement phone. The Company at its sole discretion may ask for reimbursement.

Employees may have the opportunity to use their personal electronic devices for work purposes when authorized in writing, in advance, by the employee and management. Personal electronic devices include personally owned cellphones, smartphones, tablets, laptops, and computers. The use of personal devices is limited to certain employees and may be limited based on compatibility of technology. Contact the Human Resource Department for more details.

DEVICE PROTOCOLS

To ensure the security of Company information, authorized employees are required to have anti-virus and mobile device management (MDM) software installed on their personal mobile devices. This MDM software will store all company-related information, including calendars, e-mails, and other applications in one area that is password-protected and secure. BACO's IT department must install this software prior to using the personal device for work purposes.

Employees may store company-related information only in this area. Employees may not use cloud-based apps or backup that allows company-related data to be transferred to unsecure parties. Due to security issues, personal devices may not be synchronized with other devices in employees' homes.

Making any modifications to the device hardware or software beyond authorized and routine installation updates is prohibited unless approved by IT. Employees may not use unsecure Internet sites.

RESTRICTIONS ON AUTHORIZED USE

Employees whose personal devices have camera, video or recording capability are restricted from using those functions anywhere in the building or on company property at any time unless authorized in advance by management.

While at work, employees are expected to exercise the same discretion in using their personal devices as is expected for the use of company devices. BACO policies pertaining to harassment, discrimination, retaliation, trade secrets, confidential information and ethics apply to employee use of personal devices for work-related activities.

Excessive personal calls, e-mails, or text messaging during the workday, regardless of the device used, can interfere with employee productivity and be distracting to others. Employees must handle personal matters on nonwork time and ensure that friends and family members are aware of the policy. Exceptions may be made for emergency situations and as approved in advance by management. Managers reserve the right to request employees' cellphone bills and use reports for calls and messaging made during working hours to determine if use is excessive. Nonexempt employees may not use their personal devices for work purposes outside of their normal work schedule without authorization in advance from management. This includes reviewing, sending and responding to e-mails or text messages, responding to phone calls, or making phone calls.

Employees may not use their personal devices for work purposes during periods of unpaid leave without authorization from management. BACO reserves the right to deactivate the company's application and access on the employee's personal device during periods of unpaid leave. An employee may not store information from or related to former employment on the company's application.

Family and friends should not use personal devices that are used for company purposes.

PRIVACY/COMPANY ACCESS

No employee using his or her personal device should expect any privacy except that which is governed by law. BACO has the right, at any time, to monitor and preserve any communications that use the Company's networks in any way, including data, voice mail, telephone logs, Internet use and network traffic, to determine proper use.

Management reserves the right to review or retain personal and company-related data on personal devices or to release the data to government agencies or third parties during an investigation or litigation. Management may review the activity and analyze use patterns and may choose to publicize these data to ensure that BACO's resources in these areas are being use according to this policy. Furthermore, no employee may knowingly disable any network software or system identified as a monitoring tool.

COMPANY STIPEND

Employees authorized to use personal devices under this policy will receive an agreed-on monthly stipend based on the position and estimated use of the device. If an employee obtains or currently has a plan that exceeds the monthly stipend, the Company will not be liable for the cost difference.

LOST, STOLEN, DAMAGED OR "HACKED" EQUIPMENT

Employees are expected to protect personal devices used for work-related purposes from loss, damage or theft.

In an effort to secure sensitive company data, employees are required to have "remote-wipe" software installed on their personal devices by the IT department prior to using the devices for work purposes. This software allows the company-related data to be erased remotely in the event the device is lost or stolen. Wiping company data may affect other applications and data.

The Company will not be responsible for loss or damage of personal applications or data resulting from the use of company applications or the wiping of company information. Employees must immediately notify management in the event their personal device is lost, stolen or damaged. If IT is unable to repair the device, the employee will be responsible for the cost of replacement.

TERMINATION OF EMPLOYMENT

Upon resignation or termination of employment, or at any time on request, the employee may be asked to produce the personal device for inspection. All company data on personal devices will be removed by IT upon termination of employment.

VIOLATIONS OF POLICY

Employees who have not received authorization in writing from BACO Realty management and who have not provided written consent will not be permitted to use personal devices for work purposes. Failure to follow Company policies and procedures may result in disciplinary action, up to and including termination of employment.

MANAGEMENT RIGHT TO INSPECTION AND TO ACCESS INFORMATION - NO RIGHT OF PRIVACY

BACO Realty reserves the right, at all times and without prior notice, to inspect and search all Company property for the purpose of determining whether this policy or any other policy of BACO Realty has been violated, or when an inspection and investigation is necessary for purposes of promoting safety in the workplace or compliance with state and federal laws. These inspections may be conducted during or outside of business hours and in the presence or absence of the employee.

In addition, in order to ensure the safety and security of employees and tenants, and to protect BACO Realty's legitimate business interests, BACO Realty reserves the right to question and inspect or search any employee entering onto or leaving BACO Realty premises. The inspection or search may include any packages or items that the individual may be carrying, including briefcases, handbags, knapsacks, shopping bags, etc. These items are subject to inspection and search at any time, with or without prior notice. BACO Realty also may require employees while on the job or on BACO Realty's premises to agree to reasonable inspection of their personal property and/or persons. The individual may be requested to self-inspect his or her personal property or person by displaying the contents of any packages and/or turning out his or her pockets, etc., in the presence of a representative of BACO Realty, typically a management employee of the same gender. BACO Realty will not tolerate any employee's refusal to submit to a search.

BACO Realty technical resources, such as its computer system, voice mail system, e-mail, and Company provided cell phones are provided for use only in the pursuit of BACO Realty business, except as provided in this policy. If, during the course of your employment, you perform or transmit work on BACO Realty computer systems or other technical resources, your work may be subject to the investigation, search, and review of others in accordance with this policy. In addition, any electronically stored communications that you either send to or receive from others may be retrieved and reviewed when doing so serves the legitimate business interests and obligations of BACO Realty.

Employees are otherwise permitted to use BACO Realty equipment for occasional, non-work purposes with permission from their supervisor. Nevertheless, employees have no right of privacy as to any information or file maintained in or on BACO Realty property or transmitted or stored through BACO Realty computer systems, voice mail, e-mail, cell phones or other technical resources. All bills and other documentation related to the use of BACO Realty equipment or property are the property of BACO Realty and may be reviewed and used for purposes that BACO Realty considers appropriate.

Employees may access only files or programs, whether computerized or not, that they have permission to enter. Computer software is protected from unauthorized copying and use by federal and state law; unauthorized copying or use of computer software exposes both BACO Realty and the individual employee to substantial fines and/or imprisonment. Therefore, employees may not load personal software onto BACO Realty's computer system and may not copy software from BACO Realty for personal use. All employees must contact the general manager of SPS to install any software on BACO Realty's computer system. Unauthorized review,

duplication, dissemination, removal, installation, damage, or alteration of files, passwords, computer systems or programs, or other property of BACO Realty, or improper use of information obtained by unauthorized means, may be grounds for disciplinary action up to and including discharge.

Messages stored and/or transmitted by voice mail or e-mail must not contain content that may reasonably be considered offensive or disruptive to any employee. Offensive content would include, but not be limited to, sexual comments or images, racial slurs, gender-specific comments or any comments or images that would offend someone on the basis of, among other things, his or her age, sexual orientation, religious or political beliefs, race, national origin, or disability.

INTERNET AND ELECTRONIC MAIL USE

Internet access has been provided to Company employees for the benefit of the Company. All employees are required to maintain and enhance the Company's public image in their workplace communications, and to use these resources in a productive manner in accordance with the following guidelines.

ACCEPTABLE USES OF THE INTERNET

Employees accessing the Internet, and/or the Company's own Intranet are representing the Company when doing so. Accordingly, all such communications should be for professional, business reasons and should not be for personal use. Each employee is responsible for ensuring that they use their Internet access privilege in an effective, ethical and lawful manner. "Chat rooms" may be used to conduct official Company business, or to gain technical or analytical advice. Electronic mail may be used for non-confidential business contacts.

UNACCEPTABLE USE OF THE INTERNET

The Internet and/or the Company's Intranet should not be used for personal gain or advancement of individual views. Solicitation of non-Company business, or any use of the Internet for personal gain, is strictly prohibited. Use of the Internet must not disrupt the operation of the Company network or the networks of other users and must not interfere with an employee's productivity. Copyrighted materials belonging to entities other than this Company may not be transmitted by employees on the Internet. One copy of copyrighted material may be downloaded for an employee's personal use in research if pre-approved by the employee's manager. Employees are not permitted to copy, transfer, rename, add, or delete information or programs belonging to other users unless given express permission to do so by the owner of such information or programs. Failure to observe copyright or license agreements may result in disciplinary action from the Company or legal action by the copyright owner.

Employees should be aware that harassment of any kind is prohibited. No messages with derogatory or inflammatory remarks about an individual or group's age, disability, gender, race, religion, national origin, physical attributes, sexual orientation, gender identity or expression, or any other classification protected by federal, state or local law will be transmitted.

EMPLOYEE RESPONSIBILITIES

Employees will be given an electronic mail password when granted access to the Internet or the Company's electronic mail system. Employees may change these passwords from time to time; however, all passwords must be made known to the Company. Because your system may need to be accessed by the Company when you are absent, the Company will further be able to access all Company computer equipment, electronic mail and Internet accounts.

Each employee is responsible for the content of all text, audio or images that they place or send over the Internet. All messages communicated on the Internet should have your name attached. No messages will be transmitted under an assumed name. Employees or other users may not attempt to obscure the origin of any message.

To prevent computer viruses from being transmitted through the system, employees are not authorized to download any software onto their computer or any drive in that computer.

Employees interested in obtaining software from the Internet should contact the Director of Operations of SPS.

COMPUTER AND SYSTEM SECURITY

All computers and the data stored on them are and remain at all times the property of the Company. As such, all messages created, sent or retrieved over the Internet or the Company's electronic mail systems are the property of the Company, and should be considered public information. The Company reserves the right to retrieve and read any message composed, sent, or received on the Company's computer equipment and electronic mail system. Employees should be aware that, even when a message is deleted or erased, it is still possible to recreate the message; therefore, ultimate privacy of a message cannot be ensured to anyone. Accordingly, Internet and electronic mail messages are public communication and are not private. Furthermore, all communications including text and images can be disclosed to law enforcement or other third parties without prior consent of the sender or the receiver.

VIOLATIONS

Violations of any guidelines listed above may result in disciplinary action up to and including termination. In addition, the Company may advise appropriate legal officials of any illegal violations. This policy is in no way intended to modify the at will nature of employment with the Company.

EMPLOYEE SOCIAL MEDIA/NETWORKING POLICY

A core value of the Company is to provide a work experience that encourages continuous improvement, respect, well-being, safety, personal and professional growth, and respect for cultural diversity. Maintaining a positive and safe environment takes a committed team with each member taking responsibility for his or her role and behavior.

The Company recognizes that many employees engage in social media activity while off duty and for work-related purposes. For purposes of this Policy, "social media activity" includes all types

of posts and other communications on the Internet, including but not limited to, posts on social networking sites (such as Facebook, LinkedIn, and Instagram); blogs and other on-line journals and diaries; bulletin boards and chat rooms; microblogging, such as Twitter; and posts of video or audio on media-sharing sites, such as TikTok, YouTube or Flickr. “Social media activity” also includes permitting, or failing to remove, posts by others where the employee can control the content of posts, such as on a personal page or blog.

The Company respects the legal rights of its employees and understands that employees’ time outside of work is their own. However, employees who engage in social media activity should be mindful that their social media activity, even if done off premises and while off-duty, could affect the Company’s legitimate business interests. For example, the information posted could be the Company’s confidential business information. In addition, some readers may mistakenly view you as a spokesperson for the Company. Consequently, social media activity is a legitimate and proper focus of Company policy.

This Social Media Policy (this “Policy”) provides guidance on responsible social media activity by employees. This Policy does not and cannot cover every possible social media activity. For this reason, the Company relies on the professionalism and judgment of its employees to ensure that social media activity is undertaken responsibly.

This Policy applies to all employees. This Policy applies to social media activity that relates in any way to the Company’s business, employees, customers, vendors, or competitors or that identifies an employee’s affiliation with the Company (other than as an incidental mention of place of employment in personal social media activity unrelated to the Company).

This Policy applies to social media activity when on or off duty, while using the Company’s or personal electronic resources, and whether the employee posts anonymously or using a pseudonym. Unless specifically authorized, employees are prohibited from using the Company’s electronic resources to engage in social media activity or from otherwise engaging in social media activity during working hours.

GUIDELINES APPLICABLE TO ALL SOCIAL MEDIA ACTIVITY

The Company values its established brand reputation and good will relationships. These are important corporate assets. When you engage in social media activity that identifies you as a Company employee, or in any way relates to the Company, you should bear that in mind and follow the guidelines listed below:

- Your social media activity is subject to all of the Company’s policies, including, but not limited to, the Protection of Confidential Information, Anti-Harassment & Anti-Discrimination Policy, Anti-Bullying Policy, Employee and Customer Data Privacy Policies, Internet and Intranet Use Policy and other personal conduct policies.
- Unless you have received prior authorization from the President and/or CEO, you should not represent in any social media content that you are authorized to speak on behalf of the Company, or that the Company has reviewed and approved your content. If that is not obvious from your post, you should specifically state, “The

views expressed in this post are my own. They have not been reviewed or approved by BACO Realty.”

- You should disclose your employment by the Company if your social media activity endorses the Company’s products or services, i.e., expresses opinions, beliefs, findings or experiences concerning the Company’s products or services. Unless the Company has approved any such endorsement in writing and in advance, you should specifically state, “The views expressed in this post are my own. They have not been reviewed or approved by BACO Realty.”
- You should consider using available privacy filters or settings to block from co-workers, customers, vendors or competitors who may have access to your social media activity any overly personal information about you.
- You should not post content about the Company, management, co-workers or customers that is vulgar, obscene, threatening, intimidating, defamatory, harassing, or a violation of the Company’s policies against discrimination, harassment, or hostility on account of race, color, religion, creed, sex, gender (including gender identity, gender expression, and an employee’s gender-related appearance and behavior whether or not stereotypically associated with the employee’s assigned sex at birth), marital status, age, national origin or ancestry, physical or mental disability, medical condition, veteran status, sexual orientation or any other consideration protected by federal, state or local laws.
- You should not disparage the Company’s products or services, or the products or services of its vendors or competitors.
- You should not use the Company’s logo, trademark or proprietary graphics without the express prior authorization of the President and/or CEO. You should not post photographs or video of the non-public areas of the Company’s premises, or of the Company’s processes or operations without the Company’s prior written approval.
- You should not disclose personally identifying information (such as telephone numbers, Social Security numbers, credit or debit card numbers or financial account numbers) of the Company’s employees, customers, vendors or competitors. You should not post images or video of the Company’s employees, customers, vendors or competitors without their prior permission. You should not mention customers, vendors, or competitors in your social media activity without the Company’s prior written approval.
- To ensure that the Company communicates with the media in a consistent, timely and professional manner about matters related to the Company, you should speak to your supervisor and the Human Resources Department before responding to any media inquiry about your social media activity related to the Company.
- Anyone concerned about social media activity relating to the Company that may require a response can contact the President and/or CEO.

ADDRESSING CONCERNS

You are more likely to resolve concerns about work by speaking directly with your co-workers, supervisor or other management-level personnel than by posting them on the Internet. You should consider using available internal resources, rather than social media activity, to resolve these types of concerns.

ENFORCEMENT

If you need clarification of any aspect of this policy, please contact the Human Resources Department.

The Company will, in its discretion, review social media activity to the fullest extent permitted by applicable law. If you engage in social media activity anonymously or using a pseudonym, the Company will, in appropriate circumstances, take steps to determine your identity.

Employees will be held accountable for engaging in social media activity that violates this Policy. Failure to comply with this Policy may lead to discipline, up to and including termination of employment, and if appropriate, the Company will pursue all available legal remedies. The Company also may report suspected unlawful conduct to appropriate law enforcement authorities.

The Company will not construe or apply this Policy in a manner that improperly interferes with or limits employees' rights under the National Labor Relations Act or any other legally protected communications.

NO PETS/ANIMALS ON COMPANY PROPERTY

No pets or animals are allowed at any time in any BACO office or living area provided by BACO; however, if a Director, in writing, gives permission with respect to a specific pet, then that pet (and only that specific pet) may reside in the BACO provided living area. Please ask your director for a "BACO Pet Addendum - Request for Approval Form" to request an exception to the no pet/animal policy. BACO has the absolute right to revoke approval of any pet under this policy at any time. BACO also reserves the right to amend this policy at any time for any reason. This policy should not be interpreted in any way to conflict with the Americans with Disabilities Act, which may permit service animals to be present under specific circumstances, as a workplace accommodation for employees with a disability.

NO DRIVING ON COMPANY BUSINESS WITHOUT PROPER INSURANCE

Employees may not operate any vehicle, whether personal or Company-owned, on Company business without an active insurance policy in the employee's name with an established and

credible insurance carrier. Employees shall be obligated to provide evidence of vehicle insurance and renewal of such insurance on an annual basis without an explicit request from the Company.

MOTOR VEHICLE RECORD POLICY

If your position requires job-related driving, our policy requires you to maintain a motor vehicle record (MVR) that meets or exceeds the grading requirements outlined in the MVR Grading Criteria. This MVR policy applies whether you drive a company-owned vehicle or use your personal vehicle for company business. We will examine Motor Vehicle Records prior to your start date, annually, and if suspicions of non-reported violations may exist. Any job offers made to you as an applicant is contingent upon your MVR meeting our required standards. Prospective employees must have an MVR that is clear or acceptable to be hired for positions requiring driving. Current drivers must have an MVR that is clear, acceptable, or low to minor risk as defined by the MVR Point System for continued employment in positions with driving duties. Management may restrict the driving privileges of individuals with borderline risk MVR records or require drivers to receive additional training or monitoring. Drivers with poor, high risk MVR records will be suspended from driving on company business. BACO will be using the MVR Point System to determine if your MVR is acceptable (low to minor risk), borderline (borderline to medium risk) or poor (high risk). The Motor Vehicle Record (MVR) Point System (**Table 1.0**) provides a detailed breakdown of how the point system categorizes your risk level.

You should be aware of the types of violations that appear on motor vehicle reports.

Prohibited Behavior and examples of **major** violations that will result in suspension from driving duties or termination:

- Driving while under the influence of drugs or alcohol
- Negligent homicide - Felony or manslaughter involving the use of a motor vehicle
- Aggravated assault with a motor vehicle
- Operating a vehicle with a suspended license and/or license revocation resulting from accidents or moving violations
- Racing or excessive speed (>20 MPH over speed limit)
- Reckless, negligent, careless driving (following closely and tailgating included)
- Attempting to elude a police officer
- Hit and run - Leaving the scene of an accident
- Number of convictions for moving violations

- Three or more major traffic violations
- More than two preventable accidents involving personal injury or property damage in any three-year period

Examples of **minor** violations:

- Speeding < 20 MPH
- Failure to obey signs
- Failure to yield
- Illegal turns

Examples of **non-moving*** violations:

- Parking tickets
- Motor vehicle equipment violations
- Failure to have a valid operator's license available where one actually exists

** Non-moving violations are typically not included when evaluating MVR's*

Continued employment is also contingent upon maintaining these established standards:

- A valid driver's license, in place for at least two years.
- Minimum age of 19 - for operation of non-Commercial Driver's License (CDL) required vehicles.

MVR POINT SYSTEM

Profile Points/Risk Category	Correction Action Guidelines	Violation/Accident Guidelines	Points
1 to 3 LOW RISK	- Generally, no action necessary.	Warning Operating Vehicle while on mobile phone.	1 2
4 TO 5 MINOR RISK	-Manager to discuss record and improvement with employee. Employee will be advised of responsibility to drive in a safe and courteous manner in accordance with defensive driving principles. -Written warning.	Most moving violations such as failure to stop at red light, failure to yield right of way, following too closely, etc. Failure to use restraint system (safety belts)	3 4

6 TO 7 BORDERLINE RISK	-Manager to discuss record and improvement with employee. -Written warning. -Driver training - classroom defensive driving program. Driver to pay the first \$50.	Speeding 0 to 10 MPH over 11 to 20 +20 Reckless, negligent driving, driving to endanger	2 3 6 to 8 8
8 TO 9 MEDIUM RISK	-Manager to discuss record and improvement with employee. -Written warning. -Driving training-structured Behind-the-Wheel driver training with instructor. Driver will pay the first \$150 of the training cost. -Possible loss of company vehicle and fleet vehicle to be determined on an individual basis.	Driving with suspended license Leaving scene of accident Fleeing officer Any alcohol related offense Refusal to submit to a blood alcohol test (BAC). DUI / DWI	10 10
10 OR MORE HIGH RISK	-Manager to advise employee that his or her driving record has resulted in "revoked driving privileges." -If the employee can no longer perform the essential functions of his or her position, or other job assignments are not an option, termination could result.	Preventable accidents (backing and parking lot accidents) Preventable accidents (other than backing and parking lot accidents)	1 2 to 4

RESIDING ON THE PREMISES AND TERMINATION OF LICENSE TO RESIDE ON THE PREMISES

All storage facility managers and some assistant storage facility managers must reside on the premises as a condition of active employment with the Company. Those residing on Company premises acknowledge and agree that their use of the premises is a license to use the premises and is not a tenancy of any kind. Said license is conditioned upon the continued, active employment at the aforesaid location, and said license shall terminate immediately upon a sale, disposition or transfer of ownership of the property from BRC to another party or the termination of active employment, for any reason. Furthermore, the employee acknowledges and agrees that the license to use the premises may be terminated at any time by BRC with or without notice or cause. Termination of the license, regardless of why it occurs, shall not result in a tenancy. All employees residing on Company premises further acknowledge and agree that they will maintain the property in a reasonable condition and, upon termination of employment and/or termination of the license to use the premises, will immediately vacate the premises and return the premises to BRC in a condition substantially similar to the condition when they commenced employment. Furthermore, all employees residing on Company premises acknowledge and agree that they will immediately return all personal property provided by BRC, including, but not limited to, keys, furnishings and similar items, following receipt of notice of termination of employment and/or

termination of the license to use the premises. Residence on the Company's premises is offered solely as a convenience to BRC and is not to be considered as a wage or wage supplement.

Absent extraordinary circumstances, management and employees are expected to work in the office and/or on the premises at all times. Housing, even if on the facility premises, is not considered a place of work, but rather living quarters. Absent written approval, in advance, from regional or general management, managerial employees may not perform work or conduct business from their Company-provided home.

EMPLOYEE PROPERTY

Employees are urged not to bring valuables to work. If necessary to do so, all valuables should be kept in a secure location. The Company assumes no responsibility for the loss, theft or damage of employee personal property.

Visitors

Friends and relatives should be asked not to visit employees during working hours. Under no circumstances may friends or relatives go behind the counter in the workplace. Unattended children are not allowed in the facility or on the premises at any time.

SECURITY

Security of Company facilities as well as the welfare of our employees requires that every individual be constantly alert to security risks. In this regard, please note the following:

- Immediately notify your supervisor of suspicious persons, or persons acting in a suspicious manner, in or around the facility.
- Immediately notify a supervisor of the loss of keys, security passes or identification badges.
- Do not lend keys, security passes, or identification badges to anyone who is not authorized to possess them.
- Do not disclose computer passwords, electronic door codes, or any other security access information to anyone who is not authorized to have that information.

TRAVEL REIMBURSEMENT

The Company will reimburse employees for reasonable and necessary expenses incurred during approved work-related travel. Staff travel must be authorized. Travelers should verify that the planned travel is eligible for reimbursement before making travel arrangements.

Requests for reimbursement of travel-related expenses are submitted on a Reimbursement Form. The Reimbursement Form must be accompanied by documentation of reasonable and actual expenses. The Reimbursement Form and supporting documentation should be submitted within three weeks after travel is completed.

Travelers are expected to obtain the lowest available fares that reasonably meet business travel needs. Reimbursement is based in part on the. Reimbursements that the Company may make include expenses for airfare, rail transportation, parking, mileage for personally owned vehicles, automobile rental and associated costs, lodging, and meals.

OTHER EXPENSE REIMBURSEMENT

Requests for reimbursement of other work-related expenses are submitted on a Reimbursement Form. The Reimbursement Form must be accompanied by documentation of reasonable and actual expenses. Cell phone reimbursement for those employees authorized to use their personal cell phones for business use will be handled on an individual basis. Qualified employees should contact Human Resources.

HEALTH AND SAFETY

The health and safety of employees and others on Company property are of critical concern to BACO Realty. We strive to attain the highest possible level of safety in all activities and operations. The Company also intends to comply with all health and safety laws applicable to our business.

To this end, the Company must rely upon our employees to ensure that work areas are kept safe and free of hazardous conditions. Employees should be conscientious about workplace safety including proper operating methods and known dangerous conditions or hazards. Employees should report any unsafe conditions or potential hazards to a supervisor immediately; even if you believe you have corrected the problem.

If you suspect a concealed danger is present on Company premises, or in a product, facility, piece of equipment, process or business practice for which the Company is responsible, bring it to the attention of your supervisor or the Human Resources Department immediately. Supervisors should arrange for the correction of any unsafe condition or concealed danger immediately and should inform their supervisor.

Periodically, the Company may issue rules and guidelines governing workplace safety and health. The Company may also issue rules and guidelines regarding the handling and disposal of hazardous substances and waste. All employees should familiarize themselves with these rules and guidelines as strict compliance will be expected. Contact your supervisor for copies of current rules and guidelines. Failure to strictly comply with rules and guidelines regarding health and safety, or negligent work performance which endangers health and safety will not be tolerated.

Additionally, BACO Realty has developed a written Injury and Illness Prevention Program as required by law. If you have not received your copy of this Program, or if you wish an additional copy, please contact the Human Resources Department. It is your responsibility to read,

understand and observe the Injury and Illness Prevention Program provisions applicable to your job.

Any workplace injury, accident or illness must be reported to your supervisor as soon as possible, regardless of the severity of the injury or accident. If medical attention is required immediately, supervisors will assist employees in medical care, after which the details of the injury or accident must be reported.

SMOKE FREE WORKPLACE

The Company prohibits all smoking in the workplace, including inside all enclosed buildings. Employees wishing to smoke must do so outside Company facilities, at least twenty feet away from all entrances and windows that open and smoking must occur during scheduled work breaks. This policy prohibits all forms of smoking, including vaping, electronic cigarettes, and similar devices.

Employees who observe other individuals smoking in the workplace have a right to object and should report the violation to their supervisor or another member of management. No employee will be disciplined or retaliated against for reporting smoking that violates state law or Company policy.

Employees who violate this policy will be subject to disciplinary action up to and including discharge.

HAZARDOUS WASTES

The Environmental Protection Agency has grouped certain chemicals and chemical groups into categories which have been defined as toxic. This means that in concentrated forms or by accumulating and combining with other chemicals (even the air) these chemicals can be hazardous to human health if exposure occurs. From time to time in the normal course of their jobs, employees may handle materials which have been classified as hazardous by the standards of the Occupational Safety and Health Act (OSHA) regulations. If any employee suspects that the materials or wastes he/she may encounter as an employee are hazardous (whether or not they are being created or used by the Company), he/she should inform management immediately. As a company, we are committed to not creating or disposing of hazardous wastes which will contaminate the environment. We will choose materials which have been judged as non-hazardous whenever possible and will properly dispose of hazardous materials if used.

Also, we will not illegally dump any wastes into the environment at any time. We will inform employees how to control hazardous wastes and what to do if they are exposed to hazardous wastes.

COMMUNICABLE DISEASES

In order to help keep the Company safe, we need your help. If you are (a) diagnosed with an illness that is communicable in our workplace such as active TB (Tuberculosis), SARS (Severe Acute Respiratory Syndrome), Covid-19, or the flu, or (b) if you believe you may have been exposed to a person so diagnosed, or (c) if you have recently visited a location in which there has been an outbreak of such an illness and you do not feel well or are exhibiting any symptoms of the illness in question, you must report this to the Human Resources Department. This information will be kept confidential to the extent reasonably possible but, obviously, full confidentiality cannot be guaranteed under these circumstances.

CELLULAR TELEPHONE USE

Employees whose job responsibilities include regular or occasional driving and who use a cellular telephone in their work are expected to put safety first before all other concerns. Employees whose job responsibilities do not specifically include driving as an essential function, but who use either a Company-provided or personal cellular telephone for business use, are also expected to abide by the provisions herein.

It is recommended that employees who are driving during the course of their work refrain from using their cellular telephone, for any purpose, while driving. Special care should be taken in situations where there is traffic, inclement weather, or the employee is driving in an unfamiliar area. If an employee must use a cellular telephone to conduct business while driving, employees are required to use "hands free" devices in order to use the telephone. Employees who are charged with traffic violations resulting from their use of personal or Company-issued cellular telephones while driving will be solely responsible for all liabilities, fines, etc., that result.

The following are BACO's basic guidelines for proper employee cell phone use during work hours. In general, cell phones should not be used when they could pose a security or safety risk, or when they distract from work tasks:

- Never use a cell phone while driving, unless using a hands-free device
- Never use a cell phone while operating equipment
- Do not use cell phones for surfing the internet or gaming during work hours
- Do not use cell phones to record confidential information

We realize the cell phones can be great tools for our employees. We expect employees to use company provided devices when:

- For making or receiving work calls in the appropriate place and situation to do so
- For other work-related communication, such as text messaging or emailing in appropriate places and situations
- To schedule and keep track of appointments

- To carry out work-related research
- To keep track of work tasks
- To keep track of work contacts

Improper use of cell phones may result in disciplinary action. Continued use of cell phones at inappropriate times or in ways that distract from work may lead to having cell phone privileges revoked.

Cell phone usage for illegal or dangerous activity, for purposes of harassment, or in ways that violate the company confidentiality policy may result in employee termination.

BUSINESS ETHICS

Good judgment, fairness and personal integrity are the qualities that form the basis of our Code of Ethics. As an employee of BACO Realty Corporation you agree to refrain from any activities that would violate our ethical standards. In any case where you have questions about whether an activity is prohibited you should review it in advance with the supervisor. Specifically, you agree to the following prohibitions:

- Accepting any fee, commission, payment, gratuity, entertainment service or gift for the employee's benefit, in the normal course of business, from anyone who does business with, or seeks to do business with, BACO Realty Corporation or is a tenant of a BACO Realty Corporation-managed property. An employee will be allowed, as an exception to this policy, to accept a non-cash "holiday gift" with a value of \$25.00 or less.
- Using or taking any property which belongs to BACO Realty Corporation or one of its properties without proper authorization. This includes property materials and supplies. All materials and supplies need to be stored at the property. Removing or storing materials and/or supplies off premises is considered misconduct and are grounds for immediate termination.
- Engaging in any activity that would conflict with or detract from your ability to carry out your assigned duties and responsibilities.
- Doing business with or authorizing a property to do business with any vendor who employs a relative of yours without notifying and receiving prior approval from the supervisor.
- Violating any local, state or federally mandated rules or regulations including environmental regulations.
- Making any statement or taking any action that would publicly discredit BACO Realty Corporation's integrity or position of public trust.
- Intentionally recording an income, expense, or other transaction inaccurately in order to misstate any material facts or achieve some personal gain.

With every transaction or association, it is always good practice to abide by the “Golden Rule.” Treat others the way you would like to be treated.

PROTECTION AGAINST RETALIATION

Retaliation against any employee as a result of their bringing forward any questions, concerns or complaints about accounting or auditing matters, recording of information, record retention, or in any other manner concerning the honesty and integrity of the Company’s operation is strictly prohibited. Similarly, retaliation is prohibited against any employee who provides accurate information to any law enforcement agency about the commission of any federal or state offense. Any employee who feels that he/she has been retaliated against or threatened with retaliation for these reasons should report the matter immediately to the Human Resources Department as a signed complaint or on an anonymous, confidential basis.

CONFLICTS OF INTEREST

The Company expects the undivided loyalty of its employees in the conduct of Company business. It is important that employees be free from any financial interests or other relationships that might conflict with the best interests of the Company. Accordingly, each employee shall avoid any investment or other interest in another business which would conflict with the proper performance of his/her duties or responsibilities for the Company, or which might interfere with his/her independence of judgment with respect to transactions between the Company and such other business. Examples of such situations are as follows:

- To give or receive gifts of more than token value which are in any way connected with business relationships;
- To lend to or borrow from individuals or concerns that do business with or compete with the Company, except as a retail consumer of a financial institution on an arm’s length basis;
- To serve as an officer, director, employee or consultant of or receive income from any enterprise doing business with or competing with the Company, or seeking to do so, or to own an interest in or engage in the management of an organization providing services or products to the Company, or to which the Company sells or with which it competes, except when such interest (a) comprises publicly-traded securities listed on a national securities exchange, NASDAQ or the OTC margin list and (b) is not in excess of five percent of the securities of such Company;
- To accept compensation from outsiders for services or products for which the employee is being paid by the Company;
- To speculate or deal in materials, equipment, supplies, products, lands, leases or property purchased or sold by the Company, or for which negotiations to purchase, acquire or sell are pending or may reasonable be anticipated, or to receive (other than from the Company) any compensation, bonus or commission in connection with any transaction relating to the Company’s business;

- To knowingly cause, either directly or indirectly, the Company to enter into a business transaction with a close relative of a Company employee or a business enterprise of such relative;
- To knowingly buy or sell for the employee's own account or the account of a relative of a Company employee any security or other interest which the Company or a member may be considering buying or selling, or has decided to buy or sell, until the Company's or member's decision has been completely executed and publicly announced;
- To transmit any knowledge of any considerations or decisions of any information that might be prejudicial to the interests of the Company to any person, except as may be necessary for the proper discharge of the employee's responsibilities for the Company.

If an employee finds that he/she has, or is considering the assumption of, a financial interest or outside relationship which might involve a conflict of interest, or if the employee is in doubt as to the proper application of this policy, he/she should promptly make all the facts known to the Human Resources Department and refrain from any exercise of responsibility in any manner which might reasonably be considered to be affected by any adverse interest.

PROTECTION OF CONFIDENTIAL OR PROPRIETARY INFORMATION

The Company's confidential and proprietary information is vital to the current operations and future success of the Company. Each employee shall use all reasonable care to protect or otherwise prevent the unauthorized disclosure of such information. In no event shall confidential information be disclosed or revealed within or outside the Company without proper authorization or purpose. If an employee is uncertain whether certain information should be treated as confidential, the employee should presume that such information is confidential and not disclose it without proper authorization.

By way of example, confidential or proprietary information will include information regarding the Company's business methods, business plans, databases, systems, technology, intellectual property, know-how, management, business development, operations, products, services, research, development, inventions, financial statements, financial projections, financing methods, pricing strategies, information relating to tenants, employee records, system designs, terms and conditions of arrangements of any business, customer, client or tenant lists, methods of competing, and other proprietary information.

CONFIDENTIAL COMMUNICATIONS

Employees shall not communicate non-public information to a third party, unless otherwise authorized to do so by the Human Resources Department. Material information can be either positive or negative information and can include such things as significant acquisitions, contract awards, member agreements, or other material business developments, financial results and projections of future earnings or losses, significant litigation, acquisition or loss of significant

customers, and other information material to the business of the Company. Questions should be directed to the Human Resources Department.

CONCLUSION

Many company policies and employee benefits have been treated only briefly in this handbook. If you have any questions or want more information, your supervisor will be glad to fill in the details for you. The Human Resources Department will also be happy to help you with questions problems.

BACO Realty Corporation

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